CONFIDENTIAL



EXOS Aerospace Systems & Technologies, Inc.

FMV of common stock as of April 01, 2024

Date of Report: May 21, 2024

Kannan Sivasubramanian
CEO
Aranca
kannan.siva@aranca.com

Jitendra Pabrekar
Director
Valuation & Advisory Practice
jitendra.pabrekar@aranca.com

Table of Contents

ABOUT ARANCA **3**
Brief Profile of Appraisal Team 4
ENGAGEMENT OVERVIEW **5**
Background 5
Engagement Objective and Scope 5
Standard of Value 6
Scope of Analysis 7
Declaration 8
COMPANY OVERVIEW **9**
Brief Company Profile 9
Product Offering 9
Management Team 9
Stage of Development 10
INDUSTRY OVERVIEW **11**
Global Reuseable Launch Vehicle Market 11
Outlook 11
ECONOMIC OVERVIEW **12**
VALUATION ANALYSIS **18**
General Principles 18
Equity (Enterprise) Valuation Methods 19
Equity Value Determination 20
Discounted Cash Flow (Income Approach) 21
Guideline Public Companies' Trading Multiples Method 24
Allocable Equity Value 25
EQUITY VALUE ALLOCATION **26**
Methods of Allocation of Equity Value among Different Classes of Stockholders 26
Methods of Allocation of Equity Value 26
Application of OPM 27
DISCOUNT FOR LACK OF MARKETABILITY **28**
Protective Put Method – Finnerty Approach (incorporating the Ghaidarov Correction) 28
Concluded DLOM 28
FMV OF COMMON STOCK **29**

ABOUT ARANCA

Founded in 2003, Aranca is a leading research and advisory services firm working with diverse global clients across financial markets, industry sectors, and technology domains. In today's dynamic business environment, it is critical for Enterprises to understand the inter-connections between their business drivers, industry dynamics, and technology trends to make informed decisions. And more importantly, how do private and public financial markets react to these interconnections?

This is where Aranca offers clients a unique blend of big firm capabilities in market research and sector-focused expertise with a personalized boutique financial advisory team approach.

Our team of 450+ professionals and analysts is structured across multi-disciplinary practice groups, which blend three interlinked dimensions of market, finance, and technology insights. We leverage the right mix of best data, methodologies, and talent to empower Enterprises (from start-ups to Fortune 500 companies) and Financial Institutions in making better business decisions.

Valuation & Financial Advisory	Growth Advisory	Technology Research & Advisory
We specialize in valuation and financial opinions for large enterprise, middle-market companies, and start-ups globally. Corporate M&A teams working on deals with tight deadlines often use us for our strong financial modeling skills and valuation data analytics to discover insights that matter.	Industry experts that help companies in analyzing the external ecosystem that influences the growth and business strategies of global companies by researching end-markets, demand-supply dynamics, competitors, customers, supply-chains, technologies, social / innovation trends, and industry disruptions.	The rapid pace of innovations and confluence of multiple technologies drivers various R&D, IP and Innovation professionals to adopt a more agile and outward approach to achieve long-term sustainable growth and maintain competitive intelligence. Assisting these professionals in developing winning technology is our forte.
What we do?		
Valuations • 409A Valuations • Stock Expensing (ASC 718) • Financial Reporting Valuation (PPAs) • Complex Securities • Portfolio Valuations (PE/VC Firms) • Fairness Opinions • IP Valuations **M&A and Transactions** • Financial Due-Diligence • Transaction Valuation Support • Pre-Offer Diligence • Financial Feasibility Studies • Start-up Fund Raising Support (Pitch-Decks, Financial Models, Valuation) **Strategic CFO Support** • Financial Modeling • Business Plans (5-Year Forecasts)	**Growth & Strategy** • Market Sizing & Forecasting • Entering New Markets • Go-To-Market Strategies • Evaluating Diversification Opportunities • Techno-Economic Feasibility Reports • Long-Term Strategy Plans **M&A, Inorganic Initiatives** • M&A / JV Partner Scouting • Commercial Due-Diligence **Market & Competitor Intelligence** • Competitive Intelligence • End-Market or application analysis • PESTLE Framework Analysis	**R&D Strategy** • R&D Strategy Roadmaps • Technology Scouting • Open Innovation • Product Development **Technology Intelligence** • Competitor Benchmarking • Tech/IP Landscape • Technology Watch **IP Strategy** • IP Portfolio Analysis • IP Monetization • IP Prosecution Studies (FTO, Novelty, Prior-Art, Infringement Study)
For more information, reach out to us arun.mantena@aranca.com OR tejas.kasat@aranca.com Our website: www.aranca.com		

Confidential

Brief Profile of Appraisal Team

Kannan Sivasubramanian

Principal Appraiser

Kannan has over 25 years of experience in strategy consulting, transactions, business valuation, and market research along with general management of startups and mid-sized companies.

Over the last ten years at Aranca, Kannan has played a key role in the evolution and growth of the company as a trusted research advisory services partner to over 2000 global enterprises and financial institutions. As CEO, Kannan spearheads Aranca's growth strategy, people management, and business development initiatives. A passionate mentor, he works closely with the leadership team at Aranca, encouraging them to innovate and challenge the status quo across all facets of the company's operations.

Under Kannan's leadership, Aranca's valuation services group has emerged as a leading valuation services provider to global clients with an impeccable reputation of providing independent, insightful financial opinions for diverse reporting and transaction purposes. Kannan has been instrumental in mentoring a highly qualified professional team that delivers 400+ valuation opinions annually.

Before joining Aranca, Kannan's major professional stints include Cable & Wireless, Avalon Consulting (a member of Cordence Worldwide Partnership) and Nirvana Business Solutions, a BPO start-up.

Kannan's scholastic credentials include Bachelors of Engineering (B.E) from National Institute of Technology, Rourkela and Masters in Management Studies (MMS) in Finance & Operations from Mumbai University.

Jitendra Pabrekar, CFA

Contributory Appraiser

Jitendra joined Aranca in 2006 and is a senior member of the firm's Valuations and Financial Advisory Services Groups. He has eighteen years of experience in Private Company Valuations and Investment Research, having assisted more than 3,000 companies with their valuation requirements. He has also been involved in executing several projects involving economic research, financial advisory, and financial modeling for security.

Confidential

ENGAGEMENT OVERVIEW

Background

Aranca, Inc. ('Aranca') has been engaged by EXOS Aerospace Systems & Technologies, Inc. ('EXOS' or 'the Company'), a C Corporation incorporated in the State of Texas, to conduct a valuation analysis of the Company and prepare a written report to express our opinion on the 'Fair Market Value' of its common stock, on a minority and non-marketable basis, as of April 01, 2024 (valuation date).

Engagement Objective and Scope

We understand that this report and its conclusions ('valuation' or the 'opinion') would be used by the Company's Board of Directors (and authorized Board committees) solely in connection with determining the exercise price for granting options to its employees to comply with IRC§409A and as an input for valuations pursuant to ASC 718 (formerly SFAS 123 (R)) for financial reporting purposes.

Internal Revenue Service ('IRS') introduced new regulations IRC§409A in October 2004. To avoid violation of IRC§409A and the consequent tax liabilities, companies must issue stock options at or above their grant date Fair Market Value as defined in IRS Revenue Ruling 59–60. This requires privately held companies to establish the Fair Market Value of the underlying securities to set up the exercise price of stock options. This report is intended to satisfy the requirements of IRC§409A for an Independent Appraisal of privately held companies.

ASC 718 (SFAS 123 (R), issued in December 2004), requires the value of all share-based payments to be recognized in the income statement. The statement requires public and non-public companies to measure the cost of employee services received in exchange for equity instruments, based on the Fair Value of awards on the grant date.

In preparing our analysis, John Quinn, Co-Founder and CEO, ("management"), provided information on the Company's business, products and services, operations, past performance and financial results, financial conditions, and developments. Aranca assumed the information provided and representations made are accurate and reliable and fairly represent the financial position and prospects of the Company as on the valuation date. The validity and accuracy of this appraisal report depend on the reliability and accuracy of the basic data provided by the management.

The contents of this appraisal report and opinion of value stated herein may not be used for any purpose other than the stated, and Aranca makes no assurances as to the accuracy or suitability of this valuation for purposes other than stated without its written consent.

The analysis, opinions, and conclusions reported herein are limited by the reported assumptions and limiting conditions.

(Please refer **Exhibit 10** for 'General Assumptions and Limiting Conditions')

Standard of Value

Aranca has determined the Fair Market Value of the Company's common stock based on appraisal standards, valuation methodologies, and approaches in conformity with IRS guidelines to consider 'all relevant facts and circumstances' and appraisal guidelines endorsed by the AICPA in its Practice Aid[1] and other widely recognized valuation standards.

IRS Revenue Ruling 59–60, which outlines in general the approach, methods and factors to be considered in valuing shares of the capital stock of closely held corporations for estate and gift tax purposes defines Fair Market Value, in effect, as:

"The price at which the property would change hands between a willing buyer and a willing seller when the former is not under any compulsion to buy and the latter is not under any compulsion to sell, both parties having reasonable knowledge of relevant facts."

Court decisions frequently state, in addition, that the hypothetical buyer and seller are assumed to be able, as well as willing, to trade and to be well informed about the property and the market for such property.

In other words, in application of Fair Market Value standard, Aranca assumes the following:

- As of the valuation date, cash equivalent is paid for the Company being appraised.
- The seller is not 'compelled' or 'motivated' to sell interest in the Company due to business distress.
- The buyer is rational, but not 'motivated', to acquire an interest in the Company due to certain synergistic benefits, which may not be available to other market participants.
- In other words, the buyer is not an existing shareholder, creditor, related or controlled entity, which could be anticipated to pay higher or lower value than the arm's-length 'financial buyer' due to reasons associated with those considerations.
- The seller and buyer have reasonable information and knowledge of relevant facts and events that are known or knowable as of the valuation date.

ASC 718 (formerly FAS 123(R)) defines 'Fair Value'[2] as:

"The amount at which an asset (or liability) could be bought (or incurred) or sold (or settled) in a current transaction between willing parties, that is, other than in a forced or liquidation sale."

AICPA also finds the definition of Fair Market Value in Revenue Ruling 59–60 consistent with the definition of Fair Value in Generally Accepted Accounting Principles (GAAP)[3].

1 AICPA Practice Aid Series 2013 – 'Valuation of Privately-Held-Company Equity Securities Issued as Compensation
2 FASB ASC 718, FASB ASC Master Glossary.
3 AICPA Practice Aid Series 2013 – 'Valuation of Privately-Held-Company Equity Securities Issued as Compensation', Page 11, Para 1.09

Scope of Analysis

During the course of our valuation analysis, we conducted limited reviews, inquiries, interviews, discussions, and analyses, which, in our opinion, were deemed appropriate for this valuation analysis. Our review and analysis include, but are not limited to, the following:

1. Management interviews: Discussions and interviews with members of the Company's senior management regarding addressable markets, assets, significant milestones in business plan, financial and operating history, future plans, key value drivers, projected operations, exit options, and scenarios.
2. Review of standalone financial statements of EXOS for the year ended December 31, 2020, through December 31, 2023. Review of standalone year-to-date (YTD) financial statements of EXOS and Scorpius Space Launch Company for the period ending March 31, 2024.
3. Review of the consolidated projected income statement and balance sheet for the period ended March 31, 2025, through March 31, 2034. (Please refer to **Exhibit 2** for 'Historical & Projected Financial Statements')
4. Review of capitalization summary of the Company as of the valuation date.
5. Review of Convertible Note agreements outstanding as of the valuation date.
6. Review of the Company's latest Certificate of Incorporation, valid as of the valuation date.
7. High-level secondary research and analysis on the Company's markets and the industry in which it operates; analysis of the Company's operating history, products and services, and competitive position, among others.
8. Research and analysis of financial data available from public sources of certain public companies operating in the same or similar industries, which, in our opinion, are comparable to the Company.
9. Third-party information sources**:** Review and analysis of other available company-, industry-, and economy-related statistics, forecasts, and studies (sources of information are mentioned in footnotes, wherever applicable).

Declaration

I hereby certify to the best of my knowledge and belief:

The statements of fact contained in this report are true and correct. The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, and are my personal, impartial and unbiased professional analyses, opinions, and conclusions.

I have no present or prospective interest in the property that is the subject of this report, and I have no personal interest with respect to the parties involved.

I have not provided valuation service for EXOS Aerospace Systems & Technologies, Inc. within the three-year period immediately preceding the acceptance of the assignment.

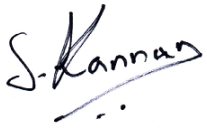
I have no bias with respect to the property that is the subject of this report, or the parties involved with this assignment. My engagement in this assignment was not contingent on developing or reporting predetermined results. My compensation for completing this assignment is not dependent on the development or reporting of a predetermined value or direction in value that favors the cause of the client, amount of the value opinion, attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

My analysis, opinions, and conclusions were developed, and this report has been prepared in conformity with, the Uniform Standards of Professional Appraisal Practice (USPAP) and the ASA BV Standards.

I was assisted by Jitendra Pabrekar, CFA during this independent appraisal process. No person other than those identified has any significant professional input during this independent appraisal process.

Summary of Findings

Based on our analysis and after considering all relevant factors described in the detailed report presented hereinafter, in our opinion, as of **April 01, 2024**, the minority and non-marketable basis 'Fair Market Value' of EXOS's common stock, as a class, is **$5.03** per share.



Principal Appraiser

Kannan Sivasubramanian

CEO, Aranca Inc.

Date of Report: May 21, 2024

Confidential

COMPANY OVERVIEW

Brief Company Profile

EXOS Aerospace Systems & Technologies, Inc. ("EXOS" or "the Company") is developing reuseable rockets to make access to space affordable. The Company was formed in 2015 to take over the operations of Armadillo Aerospace. Since then, it has developed and demonstrated a reusable suborbital rocket and is progressing towards its goal of reaching Low Earth Orbit (LEO). In 2024, the Company entered into an agreement to acquire[4] Scorpius Space Launch Company ("Scorpius" or "the Subsidiary"), a manufacturer of pressure vessels for aerospace and other applications.

Quick Facts:	EXOS Aerospace Systems & Technologies, Inc.
Incorporated:	February 2015
Headquarters:	Texas, US
Founders:	David Mitchell, John Quinn, Russell Blink, Phil Eaton, Neil Milburn, and Teresa Quinn
Product/Service Offering:	Reusable Rockets

EXOS was founded by David Mitchell, John Quinn, Russell Blink, Phil Eaton, Neil Milburn, and Teresa Quinn in February 2015 and is based in Texas, US.

Product Offering

The company is currently developing reusable rockets capable of reaching Low Earth Orbit (LEO). This rocket is an update of the suborbital rocket SARGE, which has been flown four times to date, demonstrating reusability. By offering rockets which are reuseable and require minimal refurbishment time, EXOS aims to make space accessible at an affordable price. The Company's business plan consists of both rocket launches and wet lease of its rockets to customers in addition to sale of propulsion systems.

EXOS, through the acquisition of Scorpius Space Launch Company, offers pressure vessels for aerospace and other applications. The tanks are made of carbon composite and contain no liner on the inside. They also help save on launch weight by serving as the spacecraft's main structure. Scorpius has supplied its cryogenic pressure vessels to over 20 commercial aerospace customers and has also demonstrated its product performance on the lunar surface.

Management Team

As of the valuation date, the Company's management team comprised the following individuals:

- David Mitchell – President and Co-Founder
- John Quinn – Chief Executive Officer and Co-Founder
- Russell Blink – Chief Technology Officer and Co-Founder
- Phil Eaton – Operations Manager and Co-Founder
- Neil Milburn – Chief Operating Officer and Co-Founder
- Kyle Ballard –Chief Financial Officer
- Teresa Quinn–Hiring Manager and Co-Founder

[4] *The Company entered into an agreement to acquire 94.29% of Scorpius Space Launch Company. We have considered the ownership to be 100% based on management representation to acquire the remaining stake and own the entirety of Scorpius.*

Stage of Development

The AICPA describes six stages of enterprise development based on varied factors, as depicted below:

Stage	Description
One	The enterprise has no product revenue to date and a limited expense history. It typically has an incomplete management team with an idea, a plan, and possibly some initial product development. Typically, seed capital or first-round financing is provided during this stage by friends and family, angels, or venture capital firms focusing on early-stage enterprises. Securities issued to those investors are occasionally in the form of common stock, but more commonly in the form of preferred stock.
Two	The enterprise has no product revenue, but a substantive expense history, as product development is underway and business challenges are thought to be understood. Usually, a second or third round of financing occurs during this stage. Typical investors are venture capital firms, which may provide additional management or expertise as a Board of Directors. The typical securities issued to those investors are in the form of preferred stock.
Three	The enterprise has made significant progress in product development, key development milestones have been met (such as the hire of a management team), and development is near completion (for example, alpha and beta testing). However, there is no product revenue. Usually, later rounds of financing occur during this stage. Typical investors are venture capital firms and strategic business partners. The typical securities issued to those investors are in the form of preferred stock.
Four	The enterprise has met additional key development milestones (for example, first customer orders and revenue shipments) and has generated some product revenue, but it is still operating at a loss. Typically, mezzanine rounds of financing occur during this stage. Moreover, frequently during this stage, discussions would commence with investment banks for an IPO.
Five	The enterprise has product revenue and recently achieved breakthrough measures of financial success, such as operating profitability, breakeven, or positive cash flows. A liquidity event of some sort, such as an IPO or sale of the enterprise, could occur during this stage. The form of securities issued is typically all common stock, with any outstanding preferred stock being converted to common stock upon an IPO (and perhaps other liquidity events).
Six	The enterprise has an established financial history of profitable operations or generating positive cash flows. An IPO could also occur during this stage.

Conclusion: The Company is in stage **Four** of enterprise development.

INDUSTRY OVERVIEW

The Company designs and develops reusable launch vehicles focusing on making space exploration more cost efficient and accessible. Based on the Company's operations, it can be broadly classified under the global reusable launch vehicle market.

Global Reuseable Launch Vehicle Market

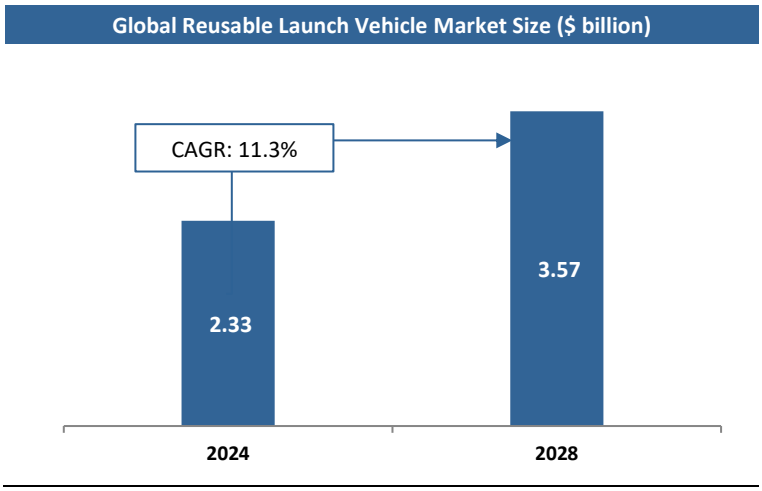
A reusable launch vehicle refers to a launch vehicle that can be launched more than once. It is designed to return back to earth completely unharmed. The reusable launch vehicles market provides, substantial cost savings compared to partial launch systems. By returning to Earth and undergoing refurbishment for subsequent launches, these vehicles significantly decrease expenses associated with manufacturing new rockets for each mission. Moreover, they are favored for their environmental sustainability, as they minimize waste generated during launches, addressing growing concerns about environmental impact in space exploration.

The growth of the reusable launch vehicle (RLV) market is being driven by several critical factors. Technological advancements in aerospace engineering have significantly improved the reliability and cost-effectiveness of reusable rockets, making them a viable alternative to traditional expendable launch systems. The increasing demand for satellite deployment for communications, earth observation, and global positioning services has necessitated more frequent and cost-efficient launch capabilities. Additionally, the rise of private space enterprises and government space programs worldwide has fueled investment and innovation in RLV technology. Environmental considerations are also playing a role, as reusable launch vehicles promise to reduce space debris and lower the environmental impact of space missions.

The reusable launch vehicle (RLV) market is constrained by several significant factors. High initial development costs and the substantial investment required for research and innovation present considerable financial barriers. Technical challenges related to the durability and reliability of reusable systems, especially during re-entry and refurbishment, add complexity and risk to their deployment. Regulatory hurdles and the need for stringent safety and compliance standards further complicate market expansion. Additionally, the competitive landscape, dominated by established aerospace giants, poses challenges for new entrants seeking to gain a foothold. Economic volatility and fluctuations in government funding for space programs can also impact the pace of development and adoption of RLV technologies. These factors collectively pose substantial obstacles to the widespread commercialization and operationalization of reusable launch vehicles.

Outlook

According to a report published by The Business Research Company in February 2024, the global market for reusable launch vehicle market was estimated at $2.33 billion in 2024 and is expected to reach $3.57 billion by 2028, registering a CAGR of 11.3%.



Source: Report published by The Business Research Company

Confidential

ECONOMIC OVERVIEW[5]

The value of a company or its assets cannot be determined in isolation from the overall economic trends in the geographic regions in which it operates. A review of economic trends is imperative while valuing a company, as the performance of a business, to a large extent, depends on the economic environment in which it operates or sells its products/services. The following section briefly discusses the economic conditions and outlook for the US economy, as the company under consideration generates most of its revenues from the domestic market.

General Economic Conditions

The U.S. economy remains trapped on a roller-coaster, although conditions do seem to be improving. Rebounding from Covid, the U.S. Gross Domestic Product (GDP) grew by 6.0%+ for most of 2021. Then the economy shrank by 2.0% in Q1 2022 and by another 0.6% in Q2, stoking recession fears. After rallying in Q3 2022, growth slid for the next three quarters, keeping recession fears alive. Then came Q3 2023, and the economy did a sharp about-face, soaring by 4.9%, the fastest in a decade, and then by an upwardly revised 3.4% in Q4. Notwithstanding these gains, sustainability remains in question.

The job situation has been equally confounding. A stunning 482,000 jobs were created in January 2023. But for the next 10 months, fewer than half as many—an average of only 224,000—were added. These figures jumped to 333,000 in December and to 353,000 in January 2024. But January's gains were due entirely to seasonal statistical adjustments; unadjusted payrolls were actually down by 2.635 million. And while 275,000 new jobs were created in February, downward revisions for previous months brought February's net down to +110,000. So the job picture remains more complex than it seems.

For some time, rising inflation worsened matters. The 9.0% year-over-year boost in the Consumer Price Index in June 2022 was a 41-year high, while the Producer Price Index rose by 11.1% year-over-year, just below its all-time peak. Since then, inflation has subsided, although it recently has begun picking up.

- **On the positive side,** leading indicators edged up; nominal hourly wages and weekly hours and earnings were up; jobless claims declined; stocks continued upward, more rapidly than in January; the dollar was stronger; benchmark interest rates were stable (albeit at a high level); industrial production inched up; durable goods orders gained; auto sales recovered; housing was largely positive; personal income rose; consumer spending soared; and retail sales rebounded.
- **On the negative side,** the unemployment rate hit its highest level in two years; job openings and new hires were down; real hourly wages decreased; mortgage rates edged higher; the national debt hit another all-time peak; the business outlook was mostly negative; business sales, manufacturers' orders, manufacturing shipments, and business investment sank; the trade deficit widened; consumer confidence sagged; and most energy prices increased.

General Economic Indicators

U.S. economic indicators in February were marginally improved. Leading indicators edged up after having fallen for most of the past two years, while coincident indicators also rose slightly.

- **The Conference Board Leading Index** (future expectations) rose for the first time since February 2022, although "the Index still suggests some headwinds to growth going forward."
- **The Conference Board Coincident Index** (current conditions), after having been unchanged in October 2023, increased the next four months, including by 0.2% in February 2024.
- **The Federal Reserve Bank of Philadelphia Coincident Index** (current conditions) was up 0.18% in January, a small gain (but only because December's mark was revised down from 0.21% to 15%).

Gross Domestic Product

After entering recession territory in Q2 2022, the U.S. Gross Domestic Product (GDP) revived, rising by 2.7% in Q3 and by 2.6% in Q4. Yet overall, for 2022, GDP increased by just 1.9%, barely one-third of 2021's 5.9% growth rate. Conditions originally worsened in Q1 2023, but the government's final Q1 mark jumped to 2.2% (vs. 1.3% forecast), and then initially by 2.4% in Q2, topping the 2.0% expected.

Still, all was not rosy, as the government in July revised its Q2 GDP growth estimate down to 2.1%, where it stayed in the final estimate. But then came September, and the economy did a sharp about-face, with GDP soaring by 4.9%, causing the White House to claim the long-feared recession had been averted. And then, on February 28, 2024, the third Q4 GDP growth estimate came in at an upwardly revised 3.4% (vs. 3.2% expected), with real GDP increasing by 2.5% year-over-year for 2023 as compared with 2022's 1.9% growth rate. While both thought andports were positive, growth was fueled by both accelerated consumer spending, which grew by even more than

[5] *Source: Key Value Data™, National Economic Report – February 2024*

previously thought, and jumps in government spending; neither consumer nor government gains of this magnitude are likely to be sustainable.

Employment - Overview

According to the U.S. Bureau of Labor Statistics (BLS), the U.S. job market is booming. BLS announced on March 8, 2024, that total U.S. nonfarm employment rose by 275,000 in February, a mark that was higher than all but one bank out of 76 had forecast. This outcome was similar to January's when an initially estimated 353,000 new jobs were recorded —a total nearly 2x Dow Jones' projection of 185,000 and almost 18% higher than even the most optimistic forecast. January's job gains were described by the media and analysts as a significant upside surprise, with the labor market performing exceptionally well. While some reactions to February's numbers were similarly positive, others were more reserved in their assessment.

And for good reason: not only was February's new jobs total 22% lower than January's first estimate, but the past two months' figures were revised down by a combined 165,000, making February's net gain a mere 110,000—and even this growth was due mostly to dubious seasonal adjustments (in January, unadjusted payrolls were actually down 2.635 million). Even the BLS's household survey showed fewer employed workers. Moreover, the private (and methodologically more accurate) ADP survey revealed sharp slowdowns, with jobs up an average of just 127,000 in the last six months.

Employment - Sectors

U.S. private-sector jobs, which had risen from 127.7 million in December 2021 to 134.4 million in January 2024, edged up to 134.6 million in February. At the same time, after declining in March, May, July, August, and October 2023, their first dips in two years, manufacturing jobs inched up by a revised 8,000 in January 2024 before dropping in February. Year-over-year:

- **Sectors with significant job gains (4.0%+ year-over-year)** health care (4.1%).
- **Sectors with modest job gains (1.0% to 3.9% year-over-year)** overall private sector (1.6%); construction (2.6%); education (1.6%); government (2.7%); leisure & hospitality (2.8%); and wholesale trade (1.1%).
- **Sectors with meager gains (< 1.0%):** financial (0.9%); information (-1.0%); manufacturing (0.2%); professional services (0.7%); retail trade (0.2%); and transportation (-1.2%).

Employment - Unemployment

After a little change in January, the unemployment picture deteriorated in February. Specifically:

- **The unemployment level** jumped from 6.124 million in January to 6.458 million in February.
- **The headline unemployment rate,** after declining to 3.4% last April, a new 53-year low, soared to 3.8% in October; after dipping, it climbed to 3.9% in February, its highest level in two years.
- **Long-term unemployment**, which had headed up in December and January, dipped in February, while the percentage of unemployed people out of work for 27+ weeks also decreased.
- **The U.S. underemployment (U-6) rate** — defined as unemployed individuals plus part-time workers who would prefer full-time work—rose from 7.2% in January to 7.3% in February.
- **The Federal Reserve's unemployment forecast** was unchanged in its latest projections.

Employment – Unemployment Rates by Demographic

Five demographic-specific jobless rates rose in February, while one stayed the same:

- **Women, ages 20 and above:** jumped from 3.4% in January to 3.9% in February.
- **Black or African-American, ages 20 and above:** climbed to 5.6% in February.
- **Black or African-American youth, ages 16-19:** up from 11.6% in January to 15.4% in February.
- **All youth, ages 16-19:** spiked from 10.6% in January to 12.5% in February.
- **Hispanic or Latino:** held at 5.0% in February, the same as in December and January.
- **Asian:** increased from 2.9% in January to 3.4% in February.

Employment – Job Transitions

The job transitions picture was mixed in the latest reports:

- **Job openings:** The number of unfilled U.S. nonfarm job openings, after falling 9 out of 12 months in 2023, edged down from a revised 8.889 million in December to 8.863 in January (latest figures).
- **New hires:** The number of new U.S. hires, after three dips in September to November 2023, rose in December before slipping from December's 5.787 million to 5.687 million in January (latest data).
- **Job quits:** After dropping from November 2021's all-time high of 4.510 million to 4.048 million in October 2022, job quits jumped to 4.148 million in November 2022 (not shown in the table), then slipped to 3.882 million in January 2023. After moving up and down for the next six months, they decreased steadily from 3.595 million in August to 3.385 million in January 2024 (latest figures).
- **Jobless claims:** End-of-month U.S. initial jobless claims fell from 803,000 in January 2021 to 203,000 in December 2021, the lowest end-of-month total in more than a decade. They plunged to a new low of 202,000 at the end of May 2022 (not shown in table), meandered during the rest of the year, then hit another new low of 199,000 in January 2023. After rising and falling, they climbed from 203,000 on December 29 to 227,000 on January 31, 2024, then dropped to 217,000 on February 29.

Employment – Key Labor Market Metrics

Nominal hourly wages and weekly hours and earnings were up in February but real wages were down:

- **The labor force participation rate (LFPR),** hit 62.8 in November 2023, then fell to 62.5 in December, a 10-month low, where it remained in January and February 2024.
- **Average weekly private-sector hours,** fell from 34.3 in December to 34.1 in January 2024, their lowest level since March 2020, at the pandemic's start, then edged up to 34.3 in February 2024.
- **Average hourly private-sector wages** inched up to $34.57 in February, 5 cents per hour (0.1%) above January's $34.52 and $1.42 (4.3%) above the year-ago mark (due mostly to reduced weekly hours). Real wages were down by 0.4% month-over-month, but up by 1.1% year-over-year.
- **Average weekly private-sector earnings** in revised figures, climbed from $1,144 in February 2023 to $1,181 in December 2023 and January 2024, then edged up to $1,186 in February.
- **U.S. labor productivity—** defined as the level of employee output per hour—plunged by 6.0% in Q1 2022 and by 3.7% in Q2, the largest combined productivity decline in 74 years. Productivity rose in Q3 and Q4, dove by 0.6% in Q1 2023, then soared by 3.1% in Q2, 4.7% in Q3, and 3.2% in Q4.

Financial – Markets

After gaining in November to January, stocks again improved in February, even faster than in January:

- **The Dow Jones Industrial Index,** after having risen from 37,690 at the end of December to 38,150 at the end of January, jumped to 38,996 by the end of February, up by 2.2%.
- **The S&P 500 Index,** after having edged up from 4,770 at the end of December to 4,846 at the end of January, continued higher to 5,096 by the end of February, a 5.2% upswing.
- **The NASDAQ Composite Index,** after increasing from 15,011 at the end of December to 15,164 at the end of January, soared to 16,092 by the end of February, a 6.1% gain.
- **The Wilshire 5000 Total Market Index,** after crawling up from 239.9 at the end of December to 242.5 at the end of January, jumped to 255.6 by the end of February, up by 5.4%.
- **The 30-Year U.S. Treasury yield,** after having plunged from 4.51% at the end of November to 4.02% at the end of December, reversed course and headed back up to 4.38% by the end of February.
- **The CBOE Volatility Index,** which had spent most of 2022 in the high-volatility range (above 24.0), fell for most of 2023, rose to 14.4 on January 31, 2024, then retreated to 13.4 on February 29.

Financial – Money & Crypto

Key money and cryptocurrency indicators for February included:

- **Growth in the U.S. money supply** was negative in January to June 2022, as the Federal Reserve sought to tamp down inflation. After rising in July, the money supply declined in August 2022 to April 2023, was up, down, and up again to end the year, then fell sharply to begin 2024.
- **The U.S. dollar,** which hit $127.58 in October 2022, its highest month-end in more than a decade, has vacillated since, dipping to end 2023, then rising in January and February 2024.
- **Cryptocurrency:** Bitcoin, which had soared from $16,531 per unit on December 31, 2022, to $42,265 per unit on December 31, 2023, skyrocketed to $61,240 per unit on February 29, 2024. Ethereum, which had surged from $1,195 per unit on December 31, 2022, to $2,281 per unit on December 31, 2023, catapulted to $3,344 per unit on February 29, 2024.

Financial – Interest Rates

After almost two years of a nearly-zero interest-rate policy designed to fight the pandemic-induced slowdown, the U.S. Federal Reserve Board declared on January 26, 2022, that its ultra-low-rate strategy would soon end and that higher interest rates would be needed to fight surging inflation.

The rate hikes began, as anticipated, in March 2022, with the Fed increasing its benchmark interest rate by 25 basis points —its first boost in rates since December 2018. The Fed raised rates by one-half point in May, then by another 75 basis points in each of June (to between 1.50% and 1.75%) and July (to between 2.25% and 2.5%), its most stringent such action since the early 1990s. After further hikes, the Fed raised rates in November, in December, and in each of January 2023, February, March, May, and July, to a range of between 5.25% and 5.50%, the highest since 2001. The Fed held rates steady from September to January. Rate cuts may come, but the Fed urges caution.

The numbers: the Federal Funds rate was up by 67x, from 0.08% in February 2022 to 5.33% in February 2024; over the same time, the bank prime loan rate jumped from 3.25% to 8.50%. The average 30-year mortgage rate soared from 3.11% in December 2021 to 7.79% in October 2023, a 23-year high; after falling, it rose to 6.94% in February 2024. And credit card rates now average 22.8%, an all-time high.

Government

With pandemic-related spending slowing and tax collections accelerating since Q1 2021, U.S. Federal spending—which had hit a new all-time record in FY 2021—declined from Q2 2021 to Q1 2022 before climbing in Q2 2022 through Q4 2023, while Federal tax receipts rose through Q2 2022. As a result, the Federal budget deficit in Q2 2022 was only 16.0% of what it had been in Q2 2020. However, with spending heading up, the deficit jumped by 73.3% by Q3 2023. In addition, the total U.S. national debt— which eclipsed $34 trillion in December—hit an all-time high of $34.471 trillion on February 29, 2024.

Business & Industry – Production & Outlook

Total U.S. industrial production was up by 0.1% in February from its downwardly revised January level, reaching 102.3% of its 2017 average, after having fallen sharply in January. Manufacturing output jumped by 0.8% in February after losing 1.1% in January. The output of mines rebounded by 2.2% in February, while the index for utilities sank by 7.5%. Capacity utilization in the industrial sector held at 78.3% in February, 1.4 points below the long-run (1972–2022) average of 79.7% and 0.4 percentage points below December's mark.

- **The U.S. Institute for Supply Management (ISM) Manufacturing Index** plunged to 47.8% in February, posting its 16th straight contraction (i.e., marks below 50).
- **The ISM Services Index,** after climbing in January, tumbled to 52.6% in February.
- **The U.S. National Association of Manufacturers (NAM) Manufacturers' Outlook** dipped to 65.1 in Q3 2023, its lowest non-pandemic mark since Q3 2016, then rose to 68.7 in Q1 2024.
- **And the U.S. National Federation of Independent Business (NFIB) Small Business Optimism Index** after climbing from 90.6 in November to 91.9 in December 2023, fell back to 89.4 in February 2024.

Business & Industry – Profit, Sales, & Investment

Business & industry metrics were largely down (some sharply) in February, after a mixed January (in cases in which January or earlier data is shown, February data had not been released yet):

- **Corporate profits,** after slipping to end 2022, turned positive in Q1 2023 and grew by 4.0% in Q3 & by 2.6% in Q4. Profits previously had registered their largest margins since 1950.
- **Total business sales** dove by 1.3% in January after having been flat in December.
- **Total manufacturers' new orders** plunged by 3.6% in January vs. December's -0.3%.
- **Total new durable goods orders excluding defense** were up by 2.2% in February.
- **Total manufacturing shipments** fell by 1.0% in January after a 0.5% gain in December.
- **U.S. net private domestic investment** in Q4, originally +2.3%, was revised to -2.1%.
- **The U.S. trade deficit,** after shrinking to $59.58 billion in March 2023—a 31-month low—soared to $72.17 billion in April; it was then up and down before increasing to $67.43 billion in December.

Autos and Housing

After plunging by a downwardly revised 7.4% in January , U.S. auto and light truck sales recovered with a 5.9% boost in February. Housing, positive in January, was largely positive again in February. Specifically:

- **Building permits** rose by 1.1% in February following January's 2.2% increase.
- **Housing starts** soared by 11.6% in February after tumbling by 4.9% in January.
- **New-home sales** slipped by 0.3% in February after heading up by 1.7% in January.
- **Existing-home sales,** rebounding from their worst year since 1995, jumped by 9.5% in February.

- **New-home prices,** according to the U.S. Census Bureau, dropped to $400,500 in February 2024, the lowest point since June 2021. However, another metric showed prices hitting a record high.

Consumers – Income & Spending

U.S. personal income, consumer spending, & retail sales were mixed in February, as in January:

- **U.S. total personal income** edged up by 0.3% in February, just 1/3 of January's 1.0% gain.
- **Real disposable income (RDI)** was down by 0.1% in February after having been flat in January.
- **RDI per capita** slipped by 0.1% in February after having been flat in January.
- **The personal saving rate** was 3.6% in February, down from January's 4.1% level.
- **Personal consumption expenditures** soared by 0.8% in February, 4x January's increase.
- **U.S. retail and food service sales** jumped by 0.6% in February after tumbling by 1.1% in January.

Consumers – Consumer Confidence

After a positive December and January, most major U.S. consumer confidence indices fell in February:

- **The Conference Board Consumer Confidence Index** decreased in February to 106.7 (1985=100), down from a downwardly revised 110.9 in January. The Present Situation Index—based on consumers' assessment of current business and labor market conditions—plunged from 161.3 to 147.6. The Expectations Index—based on consumers' short-term outlook for income, business, and labor market conditions—also declined, moving from 83.8 in January to 76.3 in February, reversing a brief surge of optimism last matched in July of 2023.
- **The University of Michigan Consumer Sentiment Index,** after soaring in December and January, lost ground in February, slipping from 79.0 in January to 76.9 in February.
- **The IBD-TIPP Economic Optimism Index,** which had risen from August 2022's 11-year low of 38.1 to 47.4 in April 2023, was up and down the rest of 2023, then fell to 44.0 in February.
- **The Gallup Economic Confidence Index,** after rising from negative 44 in April 2023 to negative 30 in July and August, plunged to -41 in October, then rebounded to -22 in February 2024.
- **Rasmussen Reports' "Right Direction/Wrong Track" Survey** moved down in February. In the February 25 to 29 survey, 28% of U.S. voters said the U.S. was headed in the right direction (down from 31% in December and from 34% in January), vs. 66% saying the country was on the wrong track (up from 63% in December and from 60% in January).

Inflation

Inflation largely slowed for the past year, but began to pick up slightly in November to February:

- **Consumer Price Index (CPI) for all goods:** After peaking at 1.3% in June 2022, month/month CPI growth for all goods has trended down but was up again in February 2024 to 0.4% vs. January's 0.3%. Year-over-year CPI growth for all goods hit 40-year highs in January 2022, February, March, and May, then peaked at 9.0% in June 2022 before dipping to 3.1% a year later; after falling and rising, it edged up to 3.2% in February 2024. Overall, prices are an average of 17.3% higher than three years ago. At the same time, real wages have declined by 2.0%, meaning that people need 19.3% more income just to maintain the same living standard.
- **CPI less food and energy:** Growth in the CPI less food and energy fell from 0.5% in February to 0.2% in October 2023, then doubled to 0.4% in January and February 2024. Year-over-year, growth in the CPI less food & energy hit 40-year highs of 6.4% in February/March 2022 and 6.6% in September 2022, then declined to 3.9% in January 2024 and to 3.8% in February.
- **Producer Price Index (PPI) for all final demand / finished goods:** After soaring by 1.6% in March 2022, m/m PPI growth for all final demand / finished goods turned negative. It hit 0.6% in July and August 2023, dove again, then jumped back to 0.6% in February 2024. The y/y rate, which posted an all-time high of 11.6% in March 2022, declined to 0.3% in June 2023, soared to 1.9% in August, fell to 0.8% in November, then roared back to 1.6% in February 2024.
- **PPI for final demand / finished goods, less food and energy:** The change in the m/m PPI less food and energy dove from 1.0% in March 2022 to 0.0% in May 2023, was low through yearend, hit 0.6% in January 2024, then fell to 0.4% in February. The y/y rate was 7.1% in March 2022 (an all-time high), dove to 2.5% by November 2023, then rebounded to 2.8% in February.
- **CPI by product category, year-over-year:** Among individual product classes, the CPI for rental housing rose at a year-over-year rate of 5.0% or higher; the CPI for apparel, food, health care, all housing, and recreation were up by a year-over-year rate of from 0.0% to 4.9%. Energy, household furnishings and operations, and new & used vehicle prices declined.

Energy Prices

After mostly falling in 2022, energy prices increased in January 2023. They were generally lower for five months, rose in July to September, then were mixed thereafter. Although crude oil prices slipped from October 2022 to March 2023, they surpassed $90 per barrel in September 2023, then dropped before climbing again. Likewise, after hitting highs in July to September 2023, gasoline and diesel prices trended down thereafter before rebounding in February 2024.

By specific energy source:

- **Crude oil prices,** which rose from $75.33 per barrel at the end of 2021 to $114.38 per barrel in May 2022, their highest month-end level since 2008, dove to $68.11 per barrel by the end of May 2023. Prices then zoomed to $90.77 per barrel by the end of September but fell to $71.89 per barrel by the end of December before jumping to $79.22 per barrel by the end of February 2024.
- **Retail gasoline prices** (unleaded regular) skyrocketed from $3.14 per gallon at the end of December 2021 to $4.71 per gallon at the end of June 2022, their highest in history (counting all grades, the average cost of a gallon of gasoline hit $5.01 in June 2022). Prices then dipped to $2.97 per gallon by the end of December 2022 before soaring to $3.49 per gallon by the end of January 2023—a 1-month jump of 17.5%. Prices slipped to $3.34 per gallon in February, mostly rose through July, fell to $3.09 per gallon in November, and then surged back to $3.25 per gallon by the end of February 2024.
- **On-highway diesel fuel prices** have topped $3.00 per gallon for 36 straight months, soaring to $5.19 per gallon at the end of March 2022, their highest end-of-month level since records were first kept in 1994. After dipping, prices hit a new all-time high of $5.78 per gallon at the end of June 2022. They stayed above $5.00 per gallon in four of the next five months before sliding to $3.80 per gallon in June 2023; after rising and falling, they hit $4.06 per gallon in February 2024.
- **Retail heating oil** sold for a month-end average of $3.38 per gallon in October to December 2021, 48.1% above a year earlier, then surged to $5.83 per gallon in October 2022—the highest month-end mark since records were kept starting in 1990. Prices sank to $4.07 per gallon in March 2023, jumped in October, fell to end 2023, then rose by February's end to $4.09 per gallon.

VALUATION ANALYSIS

General Principles

Business valuation is guided by two fundamental economic principles:

Principle of future benefits – A rational buyer will not buy an asset at a price that exceeds the cash flows the asset is expected to generate in the future, adjusted for risks associated with achieving those streams of cash flows and the time value of money.

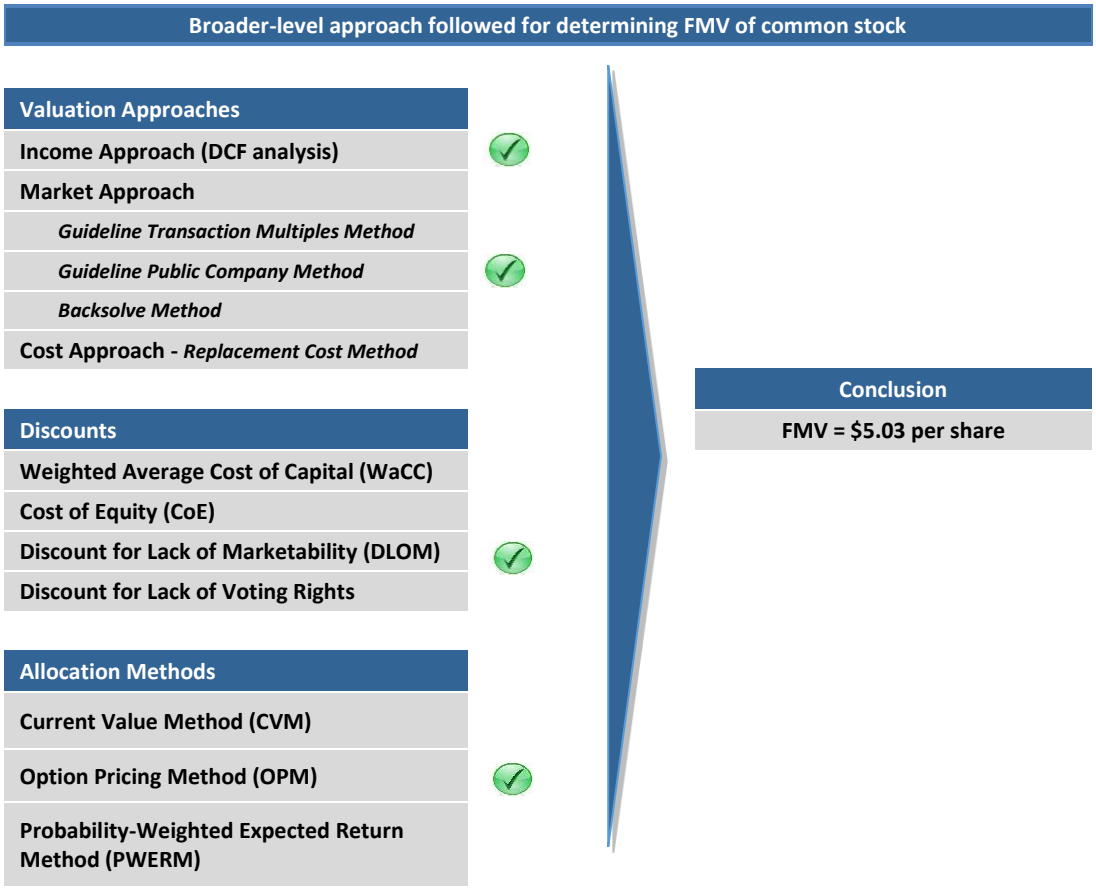
Principle of substitution – A rational buyer will not buy an asset at a price that exceeds the cost to acquire or recreate a similar asset, with similar or greater economic utility.

A company's value is determined on a going-concern or liquidation value premise.

Going-concern value: This premise assumes that the company will continue to do business in the foreseeable future, in which case the potential investor will evaluate expected returns and associated risks on a continuing basis. It assumes the highest use and best exploitation of all business inputs, such as land, labor and capital, brought together. The value thus generated is generally greater than the mere sum of the parts.

Liquidation value: This is the estimated amount shareholders expect to receive on immediate sale of the company after the settlement of external liabilities and cost of liquidation, if it were to go out of business.

A broad-level approach was followed to determine the FMV of the Company's common stock:



To arrive at the FMV of EXOS's common stock, we first determined the Equity Value of the entire Company at a non-controlling level using the Market Approach and Income Approach, as explained in the sections below. The Equity Value derived was then allocated among different classes of shareholders on the basis of appropriate methodologies prescribed in the AICPA Practice Aid[6] for the allocation of Equity Value. Thereafter, the Equity Value allocated per share to common stock, as a class, was adjusted for Discount for Lack of Marketability (DLOM) to arrive at the FMV of the Company's common stock.

[6] *AICPA Practice Aid Series 2013 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation'*

Confidential

Equity (Enterprise) Valuation Methods

According to the guidelines prescribed by the AICPA Practice Aid[7], all valuation methodologies applied for the valuation of a privately held company can be broadly classified under the following approaches:

1. The Market Approach
2. The Income Approach
3. The Cost or Asset Approach

The AICPA Practice Aid further states that in performing a valuation, an appraiser should consider all three approaches and select the most appropriate approach or approaches. The selection should consider factors such as the history, nature, and stage of development of the company; the nature of its assets and liabilities; its capital structure; and the availability of reliable, comparable, and verifiable data that would be required to perform the analysis.

According to the Uniform Standards for Professional Appraisal Practice (USPAP), "*An appraiser must develop value opinion(s) and conclusion(s) by use of one or more approaches that are necessary for credible assignment results*[8]".

(For detailed theory, please refer to **Exhibit 4**)

[7] *AICPA Practice Aid Series 2004 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page # 8, Para # 13*

[8] *USPAP, Rule 9-4 (a)*

Confidential

Equity Value Determination

In our opinion, a prospective investor would evaluate investment in a company such as EXOS based on expected returns and risks associated with continued future operations. Accordingly, we determined the Company's Equity Value on a going concern basis.

The applicability of different valuation methodologies was evaluated on several factors, including, but not limited to, the Company's development stage, significant milestones in its business plan, its operating history, the industry in which it operates, the availability and quality of relevant data for each approach, and discussions with the management on expected exit scenarios.

Non-applicability of Cost Approach: We did not apply the Cost Approach in our valuation analysis. Generally, the Cost Approach is suitable if the liquidation of the company being valued is imminent. The Cost Approach focuses on the value that each individual asset is expected to realize on liquidation near the valuation date. The approach may occasionally be suitable for valuations under a going-concern basis in cases where the company being valued (such as real estate firms and startups) has significant investments in tangible assets or where earnings generated from operations are insignificant relative to the value of operating assets. Therefore, for the purposes of this analysis, the Cost Approach was considered the weakest and was not applied.

Applicability of Income Approach: Factors such as reliability of the financial forecasts, magnitude and materiality of assumptions required to build them were analyzed while weighing the DCF method. In our opinion, future expectations of returns, growth and inherent risks associated with investment in a company in the development stage, similar to EXOS, can be measured by the DCF Method (Income Approach).

Applicability of Market Approach: We evaluated the applicability of the Market Approach (Guideline Public Companies' Trading Multiples Method) to estimate EXOS's Equity Value. We shortlisted GPCs offering similar products/services like the Company and compared them based on the parameters, including business lines, revenue model, size of revenues, and stage of development. In our opinion, future expectations of returns, growth, and inherent risks associated with an investment in a company in a development stage like EXOS can be measured by GPCs' Trading Multiples Method (Market Approach).

Accordingly, we used the Income approach and the Market approach and assigned 50% weight to each of these approaches to arrive at the concluded equity value.

(For valuation summary, please refer to **Exhibit 1**)

Discounted Cash Flow (Income Approach)

Our DCF analysis is based on financial forecasts provided by the management for the period ended March 31, 2025, through March 31, 2034. We conducted a limited and high-level review of the reasonability of key assumptions used to develop the financial projections by the management. (Please refer **Exhibit 2** for financial projections)

Equity Value

In our analysis, we analyzed free cash flows to firm (FCFF) to arrive at EXOS' Equity Value. Based on the financial forecasts for the period ending March 31, 2025–2034 and adjustments of non-cash expenditure, we arrived at the Free Cash Flow to Firm (FCFF) expected to be generated from the Company's operations. For the forecast (discrete) period, the FCFF so determined was discounted using the weighted average cost of capital (WACC) to arrive at the present value of discrete period cash flows as of the date of valuation. EXOS' Enterprise Value as of the date of valuation was determined as a sum of the present values of discrete period FCFF, terminal value, and net operating losses (NOLs). We then added the cash balance and subtracted debt outstanding as of the date of valuation to arrive at EXOS' Equity Value.

Discount Rate

The discount rate is the rate of return that a willing financial buyer, acting rationally, would expect to receive from an investment to compensate for the inherent risks and time value of money. Moreover, this rate of return should be acceptable to a willing seller with the same knowledge of facts.

Weighted Average Cost of Capital

A company's assets are financed by debt and/or equity. The WACC considers not only the costs associated with raising capital from each of these financing sources but also respective weights of different sources of capital. The return that a company must pay for every dollar it finances can be calculated by taking a weighted average cost of all financing sources.

$WACC = k_E \times [E/(E + D)] + k_D \times (1 - T) \times [D/(E + D)]$,

where **k_E** is the CoE, **E** is the market value of equity, **D** is the market value of debt, **T** is the marginal corporate tax rate of the company, and **(1 - T)** indicates the tax shield.

Debt-to-Equity Ratio

As the Company does not have any debt as of the valuation date, we have considered the capitalization to consist only of Equity.

Cost of Equity

We applied the widely used Capital Asset Pricing Method (CAPM) to calculate the CoE for EXOS. The CoE under the CAPM is generally calculated as:

CoE =

$Rf + \beta * (Rm - Rf)$

- Rf is the risk-free rate
- β is beta
- Rm is the market return
- (Rm - Rf) is the market risk premium

Risk-free Rate

We considered the yield of 4.28% (sourced from Bloomberg) on the US Treasury zero-coupon bonds with the remaining time to maturity equal to 10 years as of April 01, 2024, as a proxy for the risk-free rate.

Beta

We concluded that the beta of 1.02 (quartile 3 measure) for the set of selected GPCs would be an appropriate proxy for the beta applicable to EXOS.

Equity Risk Premium

We considered a long-horizon expected equity risk premium (supply side) of 5.50% according to the 2023 Valuation Handbook by Duff & Phelps as an input to the CAPM.

Size Premium

As the CoE arrived at using the standard CAPM equation fails to capture the investment risks associated with stocks of small or early-stage companies, Aranca added a size premium (SP) based on the study by Duff & Phelps. We have considered the tenth decile (10Y) size premium of 6.37%, which covers companies with market a capitalization of $79.47 million–$123.80 million.

Cost of Equity Calculations	Mean
Risk Free Rate[1]	4.28%
Beta[2]	1.02
Equity Risk Premium[3]	5.50%
Size Premium[4]	6.37%
Company Specific Risk Premium	10.00%
Cost of Equity	**26.24%**

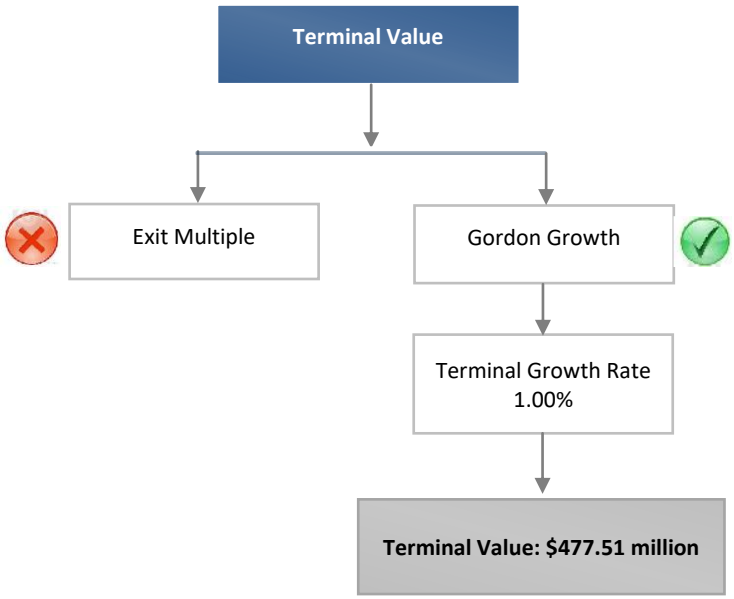
[1]Bloomberg
[2]Bloomberg.
[3]2023 Valuation Handbook by Duff & Phelps
[4]2023 Valuation Handbook by Duff & Phelps – 10Yth Decile

Terminal Value

To arrive at the terminal value, we considered the application of the Gordon Growth Method (GGM), which assumes constant growth in cash flows until perpetuity. The GGM is more appropriate for companies with highly mature operations at the end of the forecast period. Over the forecast period, the Company's cash flow is expected to grow significantly and mature in the later stages. Hence, we believe that the growth that will follow the discrete forecast period of 10 years will mirror the expected long-term economic growth rate. Accordingly, we have considered the terminal growth rate of 1.00% to estimate the terminal value.

We applied the GGM model on the 2034 FCFF of $119.35 million with constant growth in terminal year cash flows of 1.00% and the weighted average cost of capital (WACC) of 26.24% to arrive at a terminal value of $477.51 million.

Terminal Value Calculation	(in $'000)
Exit Year FCFF	119,348
Terminal Growth Rate	1.00%
Terminal Value	**477,511**



'The Company would reach a mature level of operations by the terminal year; hence, the Gordon Growth Method is employed'.

Confidential

Equity Value

The FCFF for the explicit forecast period and terminal value were discounted to their present values at the date of valuation by applying the discount rate determined above.

The FCFF considered in the analysis is calculated by considering post-tax profits. However, as EXOS has unutilized NOLs, it would enjoy tax savings by setting them against profits in certain future years (the value of which needs to be determined separately). Based on the financial forecasts, we estimated the tax savings that EXOS would enjoy year-on-year. These were then discounted to their present values to estimate the present value of tax benefit on account of NOLs.

The present value of tax benefits on account of NOLs was added to the present values of FCFF and terminal value to arrive at EXOS' enterprise value of **$116.87 million**. Thereafter, the cash balance outstanding worth $0.49 million as of the date of valuation was added to arrive at the Equity value of **$117.36 million**.

Accordingly, we used DCF along with the Market approach. (Please refer to **Exhibit 5B** for detailed calculations)

Confidential

Guideline Public Companies' Trading Multiples Method

Selecting representative guideline public companies is the most important step in applying the Guideline Public Companies' Trading Multiples Method for the valuation of privately held companies.

Considering the Company's offerings, we searched for publicly listed companies operating similar products, such as aerospace companies serving the space sector.

Based on our research and review of databases such as PitchBook, S&P CapitalIQ, and Thomson Reuters, we shortlisted nine public companies. The shortlisted GPCs are listed below:

Shortlisted Companies	
▪ Northrop Grumman Corporation	▪ Astra Space, Inc.
▪ Moog Inc.	▪ Intuitive Machines, Inc.
▪ Terran Orbital Corporation	▪ Sidus Space, Inc.
▪ Redwire Corporation	▪ L3Harris Technologies, Inc.
▪ Rocket Lab USA, Inc.	

(Please refer to **Exhibit 3** for GPC description)

Rationale for selection of forward EV/Revenue multiple: Since EXOS has yet to achieve stable operating profits, we considered the Enterprise Value to Revenue (EV/Revenue) multiples of GPCs to estimate the Company's Equity Value.

An investor would always consider future economic benefits from an investment. Therefore, forward trading multiples are generally considered better value indicators than historical trading multiples of GPCs. Given the Company's high growth stage, its valuation is primarily driven by future growth opportunities. Hence, we have considered the EV/2025 Revenue multiple and applied it to the 2025 revenue forecast (Jan-Dec) to estimate the Company's Equity Value. The Company's fiscal year is from January to December.

We conducted a comparable analysis of the selected GPCs in terms of their risk and reward profiles relative to the company being valued. Factors analyzed include quantitative and qualitative considerations, which have the potential to impact financial performance and results in the foreseeable future. In particular, we analyzed the guideline companies' financial results, such as revenue size and profitability metrics. Our analysis indicated the following:

Comparison of GPCs with the Company:

- **Revenue size**: EXOS is expected to generate a consolidated revenue of $54.08 million in 2025, whereas the selected GPCs have median 2025 revenues of $1,012 million. Thus, EXOS is smaller in revenue size than its GPCs.
- **Revenue growth**: The Company expects to grow at 215% in 2025, which is significantly higher than the median revenue growth rate of 14% of the selected GPCs in the same period.
- **Operating margin**: EXOS is expected to operate at an EBITDA margin of 1.09% in 2025, while the median EBITDA margin of the GPCs in 2025 is 14%.

While the Company is smaller in size and is operating at a loss, it is expected to grow significantly over the forecast period. EXOS has demonstrated its technical capabilities through its suborbital launches and its selection for Department of Defense projects. Further, the space tanks manufactured by Scorpius Space Launch Company have successfully demonstrated performance on the Moon. Accordingly, we believe that the Company should command an EV/2025 Revenue multiple of 2.2x (quartile 3 measure). Consequently, the Company's enterprise value was estimated to be $117.46 million. The Company has a cash balance of $0.49 million and no outstanding debt as of the valuation date. The cash balance was then added to arrive at the equity value of $117.95 million. We assigned 50% weightage to this method to arrive at the Company's concluded distributable Equity Value.

Equity Value Calculation (EV/Revenue) (in $)	2025
Revenue Multiplier	54,075,096
Multiple Selected	2.2x
Enterprise Value	117,461,298
Add: Cash	485,821
Less: Debt	-
Concluded Equity Value	**117,947,119**

(Please refer to **Exhibit 5A** for GPC multiple analysis)

Allocable Equity Value

After applying equal weights to the equity value estimated using both methods, the concluded equity value is estimated at **$117.65 million**, available for allocation among common shareholders and dilutive instruments.

Methods	Equity Value (in $)	Weight	Value (in $)
Guideline Transaction Method	117,355,389	50%	58,677,694
Guideline Public Company Method	117,947,119	50%	58,973,559
Concluded Equity Value			**117,651,254**

EQUITY VALUE ALLOCATION

Methods of Allocation of Equity Value among Different Classes of Stockholders

For allocation of the Equity Value to preferred and common stockholders, the AICPA Practice Aid primarily suggests the following three most commonly used methods:

Method 1	**Current Value Method (CVM)**	CVM assumes the hypothetical liquidation event would occur on the valuation date instead of a certain date in the future as assumed under the other two methods of allocation.
Method 2	**Option Pricing Method (OPM)**	OPM is a forward-looking approach and is appropriate for use when the range of future possible outcomes is so difficult to predict that forecasts would be highly speculative. The method considers common stock as a call option on Equity Value, as the common stock only receives value if the firm's value exceeds the liquidation preference of the preferred series.
Method 3	**Probability-Weighted Expected Return Method (PWERM)**	PWERM entails a forward-looking analysis of the possible future outcomes available to an enterprise, the estimation of a range of future and present values under each outcome, and the application of the probability factor to each outcome as of the valuation date. The potential future outcomes that are typically considered are in the form of exit events such as sale or merger, IPO, dissolution, or continuation as a private entity.

Each of these methods of allocation considers the diverse rights and preferences of multiple classes of shareholders with regard to distribution of liquidation proceeds. Each of these allocation methods has its strengths and limitations. Our selection of the most appropriate allocation method is based on discussions with the management about potential exit strategies, the most likely time horizon for each exit outcome, our analysis of the Company's development stage and other factors.

(Please refer to **Exhibit 7** for detailed equity value allocation theory)

Methods of Allocation of Equity Value

Based on our analysis of the progress made by EXOS in its business plan, discussions with the management regarding the nature and timing of potential exit outcomes, and other relevant factors, we deemed it appropriate to apply OPM as the primary method for allocation of the Company's Equity Value. EXOS is developing reuseable rockets to make access to space affordable. The Company's Equity Value depends on how well it uses opportunities and addresses challenges while growing. Accordingly, we found it appropriate to apply OPM in the case of the Company. We did not consider CVM for the allocation of the Company's Equity Value based on our review and analysis of the milestones achieved in the business plan.

Based on our review of the Company's stage of development considering the current macroeconomic scenario, our discussions with the management, the availability and reliability of estimates regarding the nature and timing of exit outcomes, and the materiality of assumptions required and availability of information, we deemed it appropriate not to consider PWERM in our valuation analysis at this stage.

Application of OPM

EXOS raised $0.77 million through Convertible Notes as of the valuation date. These notes have a yield of 7% per annum and have the option to convert @ $9.40 per share.

The number of shares to be issued to the Convertible Note holders is calculated as below:

Particulars	Convertible Notes
Principal & Interest(a)	1,000,913
Conversion Price (b)	$9.40
Number of shares (a/b)	**106,480**

The Equity Value is available for allocation among all classes of stockholders, as well as for options to be issued by EXOS, based on their rights and preferences. The following table provides a breakdown of the Company's capital structure, including dilutive securities.

Class of stock	No. of shares	OIP (in $)	Conv Ratio	CSE	% Ownership	
					O/s	Fully Diluted
Convertible Notes	106,480	9.40	1.0x	106,480	0.91%	0.91%
Common Stock	11,552,006	-	1.0x	11,552,006	99.09%	99.09%
Total no. of shares	**11,658,486**			**11,658,486**	**100.00%**	**100.00%**

(Please refer to **Exhibit 8** for detailed equity value allocation via Option Pricing Method)

DISCOUNT FOR LACK OF MARKETABILITY

As privately held stocks are not traded in a public market, the stocks of these companies are generally not as liquid or marketable as those of a public company. This lack of marketability increases the cost of transactions involving private company stocks and reduces the FMV of these stocks. Hence, DLOM is applied to stocks of privately held companies to derive their FMV. There are multiple approaches to calculate the DLOM of a privately held stock. Of these, we have used the Finnerty Model to determine the DLOM.

Protective Put Method – Finnerty Approach (incorporating the Ghaidarov Correction)

To allocate a suitable DLOM (illiquidity discount) for a privately held stock, we considered the Finnerty Approach. According to this approach, an Asian put option is used to calculate the Marketability Discount. This model assumes an investor is able to purchase an 'average-strike' put option (an 'Asian' put). The value of the put option is calculated using the BSOP model. A put option provides a buyer with the right, but not the obligation, to sell the investment held by him at the strike price of the put option. By purchasing a put option, the buyer ensures the liquidity of his investment as he now has the right to sell the investment at the strike price of the put option. This cost of the put option becomes the implied discount for an investor holding the stock of a privately held firm as this stock lacks marketability. The payout on an Asian put is based on the average value of the underlying share over a period of time rather than the final value. It reflects the investor's inability to time the market by eliminating the ability to earn average trading profits. Thus, by calculating the value of a put option at a strike price equal to the value of the underlying stock, we can estimate the DLOM. This is then deducted from the value of the underlying stock to arrive at the FMV.

To value the hypothetical put option, we use the BSOP model. The inputs used in the model are:

- **Stock Price –** This is the value of the common stock pre-DLOM.
- **Strike Price –** This is the value of the common stock pre-DLOM.
- **Volatility –** This refers to the equity volatility of the underlying asset. In the Protective Put Approach, we value the put option, which becomes the implied discount for an investor holding common stock of a privately held firm. As we value the put option with the underlying being the common stock of the Company, we consider equity volatility, an input BSOP, to measure the volatility of the underlying Equity Value.
- **Time to Expiry –** This is the expected time from the date of valuation until the occurrence of liquidation events such as a sale, a merger, or an IPO (successful exit event).
- **Risk-free Rate –** This refers to the risk-free rate that corresponds to the life of the put option.

For EXOS, a pre-DLOM value of common stock ($10.06) was used as the stock price and strike price in the put option. According to the management, the estimated time for a successful liquidation event is five years. Hence, the time to expiry was set at around five years. To determine the equity volatility, we used Merton's formulation. The equity volatility of the GPCs is in the range of 21.89% - 177.54% with a median of 61.58% and quartile 3 of 106.34%. We considered the equity volatility for the last five years from the valuation date for the current analysis.

In light of factors, such as EXOS's stage of enterprise development, size, financial performance, future prospects, and key risks and a comparative analysis of the Company with the GPCs, we determined an equity volatility of 106.34% (the quartile 3 measure) as the appropriate proxy for volatility applicable to the Company's common stock. The risk-free rate used was 4.27%, which is the yield on a US government zero-coupon bond with a maturity period of approximately five years; the DLOM arrived at using this approach was **60.21%**. We assigned 100% weightage to this approach.

Concluded DLOM

We gave 100% weightage to the Finnerty Method to arrive at the value of DLOM. Considering the above-mentioned factors and other Company-specific factors such as profitability and early stage of development, we considered **50.00%** as the appropriate proxy for DLOM for EXOS's common stock.

(Please refer to **Exhibit 9** for complete calculations)

FMV OF COMMON STOCK

After considering all the relevant factors described above, we determined that, as of the valuation date, the FMV of EXOS's common stock, as a class, is **$5.03 per share**.

Fair Market Value (FMV) of Common Stock		(in $)
Common Stock (before DLOM)		10.06
Discount For Lack of Marketability (DLOM)	50.00%	(5.03)
FMV of Common Stock		**5.03**

(rounded to two decimal places)

Exhibit 1: Valuation Summary

Valuation Summary				
Income Approach			50%	117,355,389
Market Approach (Guideline Trading Multiple)			50%	117,947,119
Equity Value				**117,651,254**
Common Stock Value				**$ Per Share**
Common Stock (before DLOM)	Pre-DLOM (Non-Marketable)			10.06
Concluded DLOM		50.00%		(5.03)
Finnerty Model (Ghaidarov Correction)	60.21%			
Common Stock Value				**5.03**

Exhibit 2: Historical & Projected Financial Statements

Summary Income Statement (in $'000)	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31	Mar-32	Mar-33	Mar-34
	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Revenues	29,479	55,486	60,921	206,259	272,386	299,624	329,587	362,545	398,800	438,680
Cost of Sales	22,955	41,257	42,193	139,737	133,558	146,914	161,605	177,765	195,542	215,096
Gross Profit	6,525	14,230	18,729	66,521	138,828	152,711	167,982	184,780	203,258	223,584
Operating Costs	9,342	13,832	18,184	24,853	31,744	34,918	38,410	42,251	46,476	51,124
EBITDA	(2,818)	398	545	41,669	107,084	117,792	129,571	142,529	156,781	172,460
Depreciation	918	2,640	4,256	5,124	5,274	5,424	5,574	5,724	5,874	6,154
Amortization	14	14	14	14	14	14	14	-	-	-
EBIT	(3,750)	(2,257)	(3,726)	36,530	101,795	112,354	123,983	136,805	150,907	166,305
Income Tax	-	-	-	-	5,591	27,485	30,336	33,475	36,937	40,745
PAT	**(3,750)**	**(2,257)**	**(3,726)**	**36,530**	**96,204**	**84,869**	**93,647**	**103,329**	**113,970**	**125,560**

aranca

Exhibit 2: Historical & Projected Financial Statements

Summary Balance Sheet (in $'000)	Mar-24	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31	Mar-32	Mar-33	Mar-34
	Historical	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Cash & Cash Equivalents	486	454	1,257	6,496	37,601	76,446	163,100	258,543	363,679	479,374	602,880
Trade Receivables	338	605	2,280	2,504	8,453	11,194	12,313	13,545	14,858	16,389	18,028
Prepaid Expenses/ Advances	11	590	1,110	1,218	4,125	5,448	5,992	6,592	7,251	7,976	8,774
Inventory	452	1,887	3,391	3,468	11,454	10,977	12,075	13,283	14,571	16,072	17,679
Other Current Assets	3,142	2,493	3,013	3,122	6,029	7,351	7,896	8,495	9,154	9,879	10,677
Current Assets	3,943	5,574	9,794	10,312	30,061	34,970	38,277	41,914	45,835	50,316	55,158
Other Operating Assets	123	123	123	123	123	123	123	123	123	123	123
Investments	685	4,865	4,865	4,865	4,865	4,865	4,865	4,865	4,865	4,865	4,865
Fixed Assets (Gross)	-	27,279	51,683	75,764	78,014	80,264	82,514	84,764	87,014	89,264	95,418
(Accum. Depreciation)	-	918	3,558	7,814	12,938	18,212	23,636	29,210	34,934	40,808	46,962
Fixed Assets (Net)	29	26,361	48,125	67,950	65,076	62,052	58,878	55,554	52,080	48,456	48,456
Intangible Assets (Gross)	246	246	246	246	246	246	246	246	246	246	246
(Accum. Amortization)	144	159	173	188	202	217	231	246	246	246	246
Intangible Assets (Net)	101	87	72	58	43	29	14	-	-	-	-
Goodwill	10,798	10,798	10,798	10,798	10,798	10,798	10,798	10,798	10,798	10,798	10,798
Total Assets	**16,166**	**48,263**	**75,034**	**100,602**	**148,568**	**189,283**	**276,056**	**371,797**	**477,380**	**593,933**	**722,280**
Trade Payables	1,978	1,887	3,391	3,468	11,454	10,977	12,075	13,283	14,571	16,072	17,679
Accrued Expenses	-	383	1,137	1,495	2,037	2,609	2,870	3,157	3,463	3,820	4,202
Other Current Liabilities	184	590	1,110	1,218	4,125	5,448	5,992	6,592	7,251	7,976	8,774
Current Liabilities	2,162	2,860	5,638	6,181	17,616	19,034	20,938	23,031	25,285	27,868	30,655
Other Operating Liabilities	393	393	393	393	393	393	393	393	393	393	393
Paid in Capital	19,659	54,809	81,059	109,809	109,809	52,903	52,903	52,903	52,903	52,903	52,903
Retained Earnings	(6,049)	(9,799)	(12,055)	(15,781)	20,749	116,953	201,822	295,470	398,799	512,769	638,330
Shareholders' Equity	13,611	45,011	69,004	94,029	130,559	169,857	254,726	348,373	451,702	565,673	691,233
Total Liabilities	**16,166**	**48,263**	**75,035**	**100,603**	**148,568**	**189,284**	**276,056**	**371,798**	**477,381**	**593,934**	**722,281**

aranca

Exhibit 2: Historical & Projected Financial Statements

Cash Flow Statement (in $'000)	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31	Mar-32	Mar-33	Mar-34
	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Net Profit After Tax	(3,750)	(2,257)	(3,726)	36,530	96,204	84,869	93,647	103,329	113,970	125,560
Depreciation	918	2,640	4,256	5,124	5,274	5,424	5,574	5,724	5,874	6,154
Amortization	14	14	14	14	14	14	14	-	-	-
Adjusted Operating Cash Profit	(2,818)	398	545	41,669	101,492	90,307	99,236	109,053	119,844	131,715
Trade Receivables	(267)	(1,675)	(223)	(5,950)	(2,741)	(1,119)	(1,231)	(1,314)	(1,531)	(1,639)
Prepaid Expenses/ Advances	(579)	(520)	(109)	(2,907)	(1,323)	(545)	(599)	(659)	(725)	(798)
Inventory	(1,435)	(1,504)	(77)	(7,986)	477	(1,098)	(1,208)	(1,288)	(1,501)	(1,607)
Other Current Assets	649	(520)	(109)	(2,907)	(1,323)	(545)	(599)	(659)	(725)	(798)
Trade Payables	(91)	1,504	77	7,986	(477)	1,098	1,208	1,288	1,501	1,607
Accrued Expenses	383	753	358	543	572	261	287	306	357	382
Other Current Liabilities	405	520	109	2,907	1,323	545	599	659	725	798
Changes in Working Capital	(933)	(1,442)	26	(8,314)	(3,491)	(1,403)	(1,544)	(1,667)	(1,899)	(2,055)
Cash Flow from Operations	(3,751)	(1,044)	571	33,355	98,001	88,904	97,692	107,386	117,945	129,660
Net (Purchase) / Sale of Investments	(4,180)	-	-	-	-	-	-	-	-	-
Net (Purchase) / Sale of Fixed Assets	(27,250)	(24,403)	(24,081)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(6,154)
Cash Flow from Investment Activities	(31,431)	(24,403)	(24,081)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(6,154)
Change in Share Capital & Reserves	35,150	26,250	28,750	-	(56,906)	-	-	-	-	-
Cash Flow from Financing Activities	35,150	26,250	28,750	-	(56,906)	-	-	-	-	-
Change in Cash & Cash Equivalents	(32)	803	5,239	31,105	38,845	86,654	95,442	105,136	115,695	123,506
Opening Cash & Cash Equivalents	486	454	1,257	6,496	37,601	76,446	163,100	258,543	363,679	479,374
Closing Cash & Cash Equivalents	**454**	**1,257**	**6,496**	**37,601**	**76,446**	**163,100**	**258,543**	**363,679**	**479,374**	**602,880**

aranca

Exhibit 3: Guideline Public Companies Description

Guideline Public Companies Description	
Company Name & Description	**Ticker**
Northrop Grumman Corp	**NOC**
Northrop Grumman Corporation is a global aerospace and defense technology company. The Company operates through four segments: Aeronautics Systems, Defense Systems, Mission Systems and Space Systems. The Aeronautics Systems segment is engaged in the design, development, production, integration, sustainment and modernization of advanced aircraft systems for the United States Air Force, the United States Navy, and international customers. The Defense Systems segment is engaged in the design, development, production, integration, and production of advanced tactical weapons and missile defense solutions, and a provider of sustainment, modernization and training services for manned and unmanned aircraft and electronics systems. The Mission Systems segment is engaged in advanced mission solutions and multifunction systems. The Space Systems segment is engaged in the design, development, integration, production and operation of space, missile defense, launch and strategic missile systems.	
Moog Inc	**MOGa**
Moog Inc. is a worldwide designer, manufacturer and systems integrator of precision motion and fluid controls and controls systems. The Company operates through four segments: Space and Defense, Military Aircraft, Commercial Aircraft and Industrial. Within the aerospace and defense market, its products and systems include primary and secondary flight controls and components for military aircraft, turreted weapon systems, tactical and strategic missile steering controls and various defense product components; primary and secondary flight controls and components for commercial aircraft; and satellite avionics, positioning controls and components, launcher thrust vector controls and components, as well as integrated space vehicles. In the industrial market, its products are used in a wide range of applications, including heavy industrial machinery used for metal forming and pressing, flight simulation motion control systems, energy exploration and generation products, and others.	
Terran Orbital Corp	**LLAP.K**
Terran Orbital Corporation is a manufacturer of small satellites primarily serving the United States (U.S.) aerospace and defense industry. The Company operates through two segments: Satellite Solutions and Earth Observation Solutions. The Satellite Solutions segment is a vertically integrated satellite provider with modern facilities and a global ground station network that delivers end-to-end satellite solutions, including spacecraft design, development, launch services and on-orbit operations for critical missions across a number of applications in a variety of orbits to governmental agencies and commercial businesses. The Earth Observation Solutions segment is engaged in developing satellites and intends to continue to develop, build, launch and operate a constellation of earth observation satellites that features synthetic aperture radar (SAR) and electro-optical capabilities to provide Earth observation data and mission solutions.	
Redwire Corp	**RDW**
Redwire Corporation develops and manufactures mission-critical space solutions and high-reliability components for the space economy. The Company's primary business model is to provide mission critical solutions based on space infrastructure offerings for government and commercial customers through long-duration projects. These core offerings include technologies and production capability for avionics and sensors; power generation; structure and mechanisms; radio frequency (RF) systems; platforms, payloads and missions; and microgravity payloads. The Company's products and solutions include antennas, satellite technology, space-qualified sensors, deployable space structure, berthing and docking equipment, and space-enabled manufacturing payloads. It offers enterprise software suite that enables advanced digital engineering and generation of high fidelity, interactive modeling and simulations of individual components, entire spacecraft and full constellations in a cloud-based model.	

Rocket Lab USA Inc	**RKLB.O**
Rocket Lab USA, Inc. is an end-to-end space company. The Company designs and manufactures small and medium-class rockets, spacecraft and spacecraft components and related software and services to support the space economy. The Company delivers reliable launch services, spacecraft design services, spacecraft components, spacecraft manufacturing and other spacecraft and on-orbit management solutions that make it easier to access space. The Company's Launch Services segment provides launch and launch related services to customers on a dedicated mission or ride share basis. Its Space Systems segment comprises spacecraft engineering and design services, spacecraft components, spacecraft manufacturing and on-orbit mission operations. Its space systems solutions are the building blocks for spacecraft, which include composite structures, reaction wheels, star trackers, solar solutions, radios, separation systems, command and control spacecraft software and power solutions.	
Astra Space Inc	**ASTR.O**
Astra Space, Inc. designs, tests, manufactures and operates launch services and space products and services. The Company's services and products are enabled by constellations of small satellites in Low Earth Orbit (LEO). Its system consists of a small launch vehicle and mobile ground infrastructure that can fit inside standard shipping containers for deployment anywhere in the world where its spaceports are located. The Company operates its launches from Pacific Spaceport Complex in Kodiak, Alaska and Cape Canaveral Space Force Station in Cape Canaveral, Florida. Its space services encompass all aspects of hosted satellite and constellation services, including hosting customer payloads onto its spacecraft and delivering services, such as communication services. The Company designs and provides space products based on the customers' needs for a satellite launch and other products that it sells in the future. The Company offers two in-space electric propulsion systems.	
Intuitive Machines Inc	**LUNR.O**
Intuitive Machines, Inc. is a diversified space company focused on space exploration. It is a provider and supplier of space products and services that enable sustained robotic and human exploration to the Moon, Mars, and beyond. Its products and services are offered through its four business units: Lunar Access Services, Orbital Services, Lunar Data Services and Space Products and Infrastructure. Its Orbital Services segment is designed to support satellites and stations in Earth and lunar orbits. Orbital Services consists of leveraging its technologies and government funds to establish a foothold in capturing the growing orbital services market. Lunar Data Services is designed to allow to provide lunar network services to National Aeronautics and Space Administration and commercial clients. Space Products and Infrastructure includes propulsion systems, navigation systems, engineering services contracts, lunar mobility vehicles, power infrastructure, and human habitation systems.	
Maritime Launch Services Ltd	**MAXQ.NLB**
Maritime Launch Services Ltd is a Canada-based commercial aerospace company. The Company is developing Spaceport Nova Scotia, a launch site that will provide satellite delivery services to clients in support of the growing commercial space transportation industry over a wide range of inclinations. The development of this facility allows the Cyclone-4M and other prospective launch vehicles to place their satellites into low-earth orbit, building to a launch tempo of over eight launches per year. Its launch vehicles are customizable for commercial applications, putting single spacecraft or constellation satellites into low-earth orbit. The Company's first commercial orbital launch complex is in Canada.	
Sidus Space Inc	**SIDU.O**
Sidus Space, Inc. is a provider of space-as-a-service solutions including end-to-end satellite support. The Company is engaged in hardware manufacturing and multi-disciplinary engineering services such as satellite design, manufacture, launch planning, mission operations, in-orbit support, and space-based data collection. The Company provides data for insights on aviation, maritime, weather, space services, earth intelligence and observation, financial technology (Fintech) and the Internet of things (IoT). The Company has a range of space-as-a-service offerings including space-rated hardware manufacturing, design engineering, satellite manufacturing and platform development, launch and support services, data analytics services, and satellite constellation management. The Company supports commercial space, aerospace, defense, underwater marine, and other commercial and government customers. The Company manufactures its satellites at its Cape Canaveral facility located in Florida.	
L3Harris Technologies Inc	**LHX**
L3Harris Technologies, Inc. provides end-to-end technology solutions connecting the space, air, land, sea and cyber domains. Its Space & Airborne Systems segment includes space payloads, sensors and full-mission solutions; classified intelligence and cyber; avionics; electronic warfare, and mission networks for air traffic management operations. Its Integrated Mission Systems segment includes passive sensing and targeting; electronic attack; autonomy; power and communications; networks; sensors; aviation products, and pilot training operations. Its Communication Systems segment includes tactical communications with global communications solutions; broadband communications; integrated vision solutions, and public safety radios, system applications and equipment. Aerojet Rocketdyne segment includes missile solutions with propulsion technologies for strategic defense, missile defense, and hypersonic and tactical systems, and space propulsion and power systems for national security space.	
Magellan Aerospace Corp	**MAL.TO**
Magellan Aerospace Corporation is a Canada-based global enterprise company, which is engaged in providing integrated products to the aerospace industry worldwide. The Company designs, engineers and manufactures aeroengine and aerostructure components for aerospace markets, including advanced products for defense and space markets, and complementary specialty products. The Company operates through Aerospace segment, which includes the design, development, manufacture, repair and overhaul, and sale of systems and components for defense and civil aviation. The Company's products include Engine Cold Section, Engine Hot Section, Engine Shafts, Specialty Materials, Black Brant, RATO Booster Motors, CRV7 Rocket Weapon System, Small Satellite Bus Platforms, Avionics, Manufactured Components and Assemblies and Wire Strike Protection System (WSPS). The Company also supports the aftermarket through the supply of spare parts as well as through repair and overhaul services.	

Exhibit 4: Valuation Theory

Market Approach

The market approach is based on the economic principle of competition (i.e., in a free market, forces of demand and supply will direct the values of businesses to a particular balance). Valuation under the market approach entails the application of appropriate market-based multiples selected from guideline public companies to parameters such as level of earnings, cash flow, revenues, invested capital, or other financial factors (financial metrics) that represent the future financial performance of the subject company. This method is based on the idea of determination of the price at which the company will be exchanged in the public market and is particularly useful for valuing companies that are currently profitable and are expected to continue generating profits in the foreseeable future.

In some industries, certain industry-specific non-financial metrics are also used instead of financial metrics. One example of non-financial metrics would be 'price per million page views' in the online advertisement industry and 'price per subscriber' in the cable industry. The use of such non-financial metrics may be suitable for the valuation of companies in very early stages of development with no profits and operating in industries where such metrics are generally accepted.

The multiples reflect the rate of return that prospective investors will expect on their investment, which will compensate for the inherent risks associated with such investments. The multiples are believed to implicitly factor in growth expectations and level of earnings that the company is expected to generate in perpetuity.

Market Approach – Guideline Public Companies' Multiples

The most common method under the market multiples approach entails identifying suitable GPCs and selecting appropriate trading multiples (i.e., ratio of recently traded price to earnings, cash flows, revenues, and invested capital).

Market multiples are generally expressed as a ratio of diverse variables such as:

- **Net Profit (Price to Earnings – 'P/E'):** P/E multiple, the most widely used multiple, measures the relationship between recently traded market share price of companies and their earnings per share. Earnings are calculated net of interest expense; this captures the impact of leverage (debt) during calculation of the Equity Value.

- **Cash Flows (Price to Cash Flows – 'P/CF'):** Cash flows under this multiple are calculated by adding back depreciation and other non-cash expenses. This multiple is suitable when the proportion of fixed assets and depreciation expenses is large relative to the company's total asset size, revenues, and net earnings. The multiple is particularly suitable since it offsets the differences caused by the dissimilar depreciation practices of guideline companies – these differences yield diverse P/E multiples.

- **EBITDA (Enterprise Value to EBITDA- 'EV/EBITDA'):** By using different depreciation methods, a company can inflate or deflate its earnings. Similarly, higher leverage enables a company to drive up Earnings per Share (EPS); however, this increase comes with higher risk (due to the increased leverage). Therefore, the earnings of companies with different depreciation policies and levels of leverage are not comparable. The EV/EBITDA multiple helps to overcome this shortcoming inherent in the PE multiple.

- **Revenues (Price to Revenues – 'P/S' or Enterprise Value to Revenues – 'EV/S'):** The EV/S multiple may be used for companies that exhibit negative earnings or where there is scope for manipulation of financial statements by a company's management, since it is easier to manipulate earnings than revenues. However, this multiple is more appropriate during comparison of the valuation of companies that have similar net profit margins.

- **Net Book Value (Price to Net Book Value – 'P/NBV'):** This multiple is useful for businesses such as banks and insurance companies that have significant tangible or financial assets relative to the total investment.

Market multiples are generally expressed either as current multiples (for example, Trailing Twelve Months 'TTM' multiple) or forward multiples (ratio of current price to earnings/cash flow/revenue for certain period in future (for example, one-year forward multiple, two-year forward multiple). The market value of a security is the amount that investors are willing to pay for benefits that are expected to flow to investors owning the security. Since the holder of the security is entitled to benefits after the date of purchase, forward trading multiples are generally considered more appropriate to value a security than current multiples, which compare the price of the security with the past performance of the company – this does not benefit an investor evaluating the investment.

However, the suitability of forward multiples is limited by the reliability and reasonableness of earnings/cash flow/revenue estimate for the selected future period, especially in the case of early-stage privately held companies due to their very limited performance history and inadequate market opinion about these estimates. Thus, in cases where future estimates are highly speculative, applying multiple on the trailing financial metrics could yield more reliable valuation results.

Market Approach – Guideline Transaction Multiples

Another variant of the market approach is the guideline transaction multiple method ('GTM'), wherein the ratio of total price paid for the public or private company to its earnings in recent M&A transactions between unrelated parties is considered. This method is mostly used in combination with the income approach and other methods.

M&A transaction multiples, to some extent, include the strategic or synergistic value attributable to synergies available to the specific buyer, not available to most other market participants. To that extent, an M&A transaction may provide a better indication of the 'investment value' (i.e., value for that specific buyer) than the FMV (i.e., value to the hypothetical, rational financial buyer).

BackSolve or Reverse OPM Valuation at Latest Preferred Financing

A similar approach to the Implied Post-Money Valuation is the Reverse OPM or the BackSolve Approach. Under this approach, the value of the company is estimated by matching value allocated to the latest round of preferred financing with its Original Issue Price (OIP). In this approach, the inputs of BSOP allocation methodology such as risk-free rate, volatility, and time to exit event are assumed to hold true and the BSOP calculation is worked backward to estimate the implied valuation of the company at which the latest preferred series' OIP is met.

In cases where a recent stock transaction within the company has taken place, the Equity Value estimated under the BackSolve Approach is considered as a reasonable benchmark after factoring various qualitative rights available to preferred shareholders. A typical list of rights available to preferred shareholders is:

- Board representation
- Information rights
- Right to first refusal
- Right of co-sale
- Drag along
- Protective provisions

Market Approach – Suitability in Valuation of Privately Held Company

The market approach is theoretically preferable to other approaches because it uses direct comparisons with other companies and relies on data derived from actual market transactions. However, application of the market approach during the valuation of privately held companies is fraught with challenges, especially during the early stages of development when financial information on the company being valued is inadequate.

- The foremost challenge to application of the market approach while valuing companies is the selection of 'true' guideline public companies or guideline transactions with reasonable effort and cost. Even if guideline public companies exist, the market approach may not be sufficiently reliable for valuation of companies in the early stages with no earnings or insignificant revenues, since financial forecasts may be highly speculative.

- Direct application of the performance indicators of public companies may be difficult, since public companies are typically in the much later stages of development relative to privately held companies. In such cases, according to the AICPA Practice Aid guidelines, an appraiser may need to make certain adjustments to an initial valuation arrived at using guideline companies that are not comparable to the company being valued in one regard or the other.

AICPA Practice further states*: "In performing valuations of early-stage enterprises under the market approach, not only is it assumed that the industry, size of enterprise, marketability of the products or services, and management teams are comparable, but also that the enterprise's stage of development is comparable. This assumption often renders the market approach impractical for early-stage companies because the pricing data for such companies are difficult, if not impossible, to find. Furthermore, even if pricing data can be found, until product or service feasibility is achieved, comparability among early-stage companies is difficult to achieve."*

Implied Post-Money Valuation at Latest Preferred Financing

Although very limited in use, implied post-money valuation based on the latest preferred financing is another alternate method under the market approach for determining the Equity Value of the company. This method is generally used to develop an indication of Equity Value along with other valuation methods and not as the primary method of valuation.

AICPA Practice Aid Series 2013 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page 32, Para 4.22

Value determination

Amount raised in latest funding round	Divided by	Percentage of total equity stake given up	Equals	Equity Value under this method

Approach suitable in following circumstances:

- When investors contributing to the latest preferred round are unrelated to the company
- Time lag between the financing date and the valuation date is not material

Not suitable when:

- Funds are contributed by investors who are existing shareholders in the company or are related to it in a manner that could materially impact their decision to invest

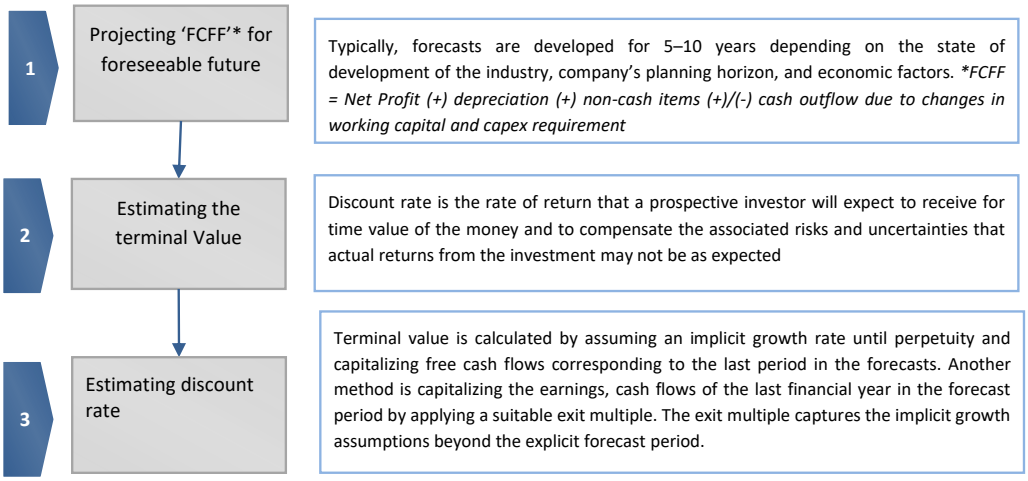
Other Limitations

The suitability of this method to derive the FMV of common stock may be very restricted due to following limitations:

- The method assumes that all classes of equity (preferred and common stock) are equally valuable.
- Preferred shareholders generally have significantly superior economic and non-economic rights such as representation, preference, conversion, and other benefits that are difficult to quantify. Hence, the value associated with them cannot be isolated.

Income Approach – Discounted Cash Flow Method

DCF is one of the widely used methods for valuing private companies and entails three broad steps:

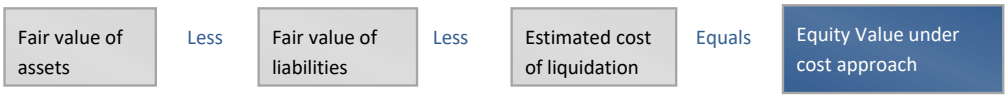


**FCFF – Free Cash flows to Firm*

The free cash flows are discounted to arrive at the present value, as of the valuation date. To arrive at the Equity Value, the sum of the present value of all future cash flows and terminal value is taken into consideration. To this sum, cash balances and the sum of the present value of all future reasonably realizable tax benefits are added and debt is subtracted to arrive at the Equity Value.

Cost Approach – Adjusted Book Value Method

Estimating the value of the company under the adjusted book value method entails estimation of the fair value of each of its specific individual assets and liabilities.



Suitability and features of cost approach

- The cost approach is generally suitable when liquidation of the company being valued is imminent.
- The approach may sometimes be suitable for valuations under 'going-concern' basis in cases where the company being valued has huge and significant investments in tangible assets or where earnings generated from operations are insignificant relative to the value of its operating assets (for example, real estate holding companies and startups).
- While the income and market approaches focus on cash flows likely to be generated through collective and continued exploitation of all assets, the cost approach focuses on the value that each individual asset is expected to realize on liquidation near the valuation date.

For the purposes of this analysis, therefore, the cost approach is considered the weakest and is generally applied as a secondary approach in conjunction with the income and/or market approaches.

aranca

Exhibit 5A: Guideline Public Company Multiple Analysis

Company Name	Share Price	Market Cap ($ mn)	EV ($ mn)	EV/Revenue 2025
Northrop Grumman Corporation	471.35	69,749	82,349	1.9x
Moog Inc.	157.04	4,934	5,878	1.6x
Terran Orbital Corporation	1.36	240	371	0.4x
Redwire Corporation	4.37	240	409	1.2x
Rocket Lab USA, Inc.	4.08	2,052	1,911	3.0x
Astra Space, Inc.	0.70	15	13	n.a
Intuitive Machines, Inc.	6.65	289	537	1.4x
Sidus Space, Inc.	3.17	16	20	n.a
L3Harris Technologies, Inc.	208.56	40,487	53,941	2.4x
Count				7
Mean				1.7x
Median				1.6x
Quartile 1				1.3x
Quartile 3				2.2x
Selected Multiple				**2.2x**

Equity Value Calculation	($ '000)
Multiplier	Revenue
Amount	54,075
Multiple	2.2x
Enterprise Value	117,461
Add: Cash	486
Less: Debt	-
Equity Value	**117,947**
Weight allocated	100%
Concluded Equity Value	**117,947**

Exhibit 5B: Discounted Cashflow Analysis

Discounted Cash Flow Statement (in $'000)	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31	Mar-32	Mar-33	Mar-34
	FY-F	FY-F	FY-F	FY-F	FY-F	FY-F	FY-F	FY-F	FY-F	FY-F
Revenues	29,479	55,486	60,921	206,259	272,386	299,624	329,587	362,545	398,800	438,680
EBITDA	(2,818)	398	545	41,669	107,084	117,792	129,571	142,529	156,781	172,460
EBIT	(3,750)	(2,257)	(3,726)	36,530	101,795	112,354	123,983	136,805	150,907	166,305
Net Earnings (PAT)	(3,750)	(2,257)	(3,726)	36,530	96,204	84,869	93,647	103,329	113,970	125,560
Earnings Before Amortization Interest & Tax	(3,736)	(2,242)	(3,711)	36,545	101,810	112,368	123,997	136,805	150,907	166,305
Tax on EBIT	-	-	-	(9,867)	(27,489)	(30,339)	(33,479)	(36,937)	(40,745)	(44,902)
Earnings before Interest, but after Tax	(3,736)	(2,242)	(3,711)	26,678	74,321	82,029	90,518	99,867	110,162	121,403
Depreciation	918	2,640	4,256	5,124	5,274	5,424	5,574	5,724	5,874	6,154
Change in Working Capital	(933)	(1,442)	26	(8,314)	(3,491)	(1,403)	(1,544)	(1,667)	(1,899)	(2,055)
Net Capital Expenditure	(31,431)	(24,403)	(24,081)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(2,250)	(6,154)
Free Cash Flow to Firm (FCFF)	(35,182)	(25,447)	(23,511)	21,238	73,854	83,800	92,299	101,675	111,887	119,348
PV of FCFF	**(31,236)**	**(17,952)**	**(13,138)**	**9,401**	**25,894**	**23,274**	**20,305**	**17,718**	**15,444**	**13,050**

Equity Value Calculation	(in $'000)
PV of FCFF	62,760
Terminal Value	477,511
PV Factor	0.11
PV of Terminal Value	52,211
Enterprise Value	116,870
Current Cash & Cash Equivalents	486
Less: Debt	-
Total Equity Value	**117,355**

Terminal Value Calculation	(in $'000)
Exit Year FCFF	119,348
Terminal Growth Rate	1.00%
Terminal Value	477,511

Weighted Average Cost of Capital (WaCC)	
Target D/E	0.00
Weight of Debt (D/(D+E))	0.00
Weight of Equity (E/(D+E))	1.00
Cost of Debt (CoD)	3.34%
After tax Cost of Debt (CoD)	2.44%
Cost of Equity (CoE)	26.24%
WaCC	**26.24%**

Cost of Equity Calculations	Mean
Risk Free Rate (1)	4.28%
Beta (2)	1.02
Equity Risk Premium (3)	5.50%
Size Premium (4)	6.37%
Company Specific Risk Premium	10.00%
Cost of Equity	**26.24%**

(1)Source – Bloomberg

(2)Source – Reuters Eikon

(3)Source – 2023 Valuation Handbook by Duff & Phelps - Supply side long term

(4)Source – 2023 Valuation Handbook by Duff & Phelps - 10Yth Decile

BETA Calculations

Company Name	Ticker	Debt (mrq)	D/E Ratio	Beta	Unlevered Beta	Re-levered Beta
Northrop Grumman Corporation	NOC	16,048.00	0.23	0.70	0.60	0.60
Moog Inc.	MOGa	1,070.73	0.22	1.28	1.11	1.11
The Boeing Company	BA	54,121.00	N/A	1.68	N/A	N/A
Terran Orbital Corporation	LLAP.K	202.24	0.84	0.77	0.48	0.48
Redwire Corporation	RDW	105.84	0.44	1.33	1.00	1.00
Rocket Lab USA, Inc.	RKLB.O	182.29	0.09	1.24	1.16	1.16
Astra Space, Inc.	ASTR.O	17.69	1.21	1.92	1.02	1.02
Intuitive Machines, Inc.	LUNR.O	43.48	0.15	0.94	0.85	0.85
Maritime Launch Services Inc.	MAXQ.NLB	5.28	N/A	0.82	N/A	N/A
Sidus Space, Inc.	SIDU.O	4.72	0.29	(0.09)	(0.08)	(0.08)
Virgin Galactic Holdings, Inc.	SPCE.K	491.72	N/A	1.75	N/A	N/A
Multiple Selected						**Quartile 3**
Considered for Analysis						**1.02**

Source: Bloomberg

Beta and R figures are based on five-year weekly historical data

Exhibit 6: Equity and Asset Volatility

Equity Volatility

Company Name	Ticker	Equity Volatility	d1	d2	Variance of Asset Volatility	Asset Value	Asset Volatility
Northrop Grumman Corporation	NOC	25.79%	4.05	3.57	4.73%	82,713	21.75%
Moog Inc.	MOGa	43.09%	2.72	1.90	13.56%	5,793	36.82%
Terran Orbital Corporation	LLAP.K	97.34%	1.28	-0.53	65.57%	321	80.98%
Redwire Corporation	RDW	71.96%	1.64	0.32	34.65%	310	58.87%
Rocket Lab USA, Inc.	RKLB.O	65.15%	2.66	1.29	37.45%	2,194	61.19%
Astra Space, Inc.	ASTR.O	120.41%	1.29	-1.08	111.90%	18	105.78%
Intuitive Machines, Inc.	LUNR.O	152.78%	2.31	-1.04	225.20%	297	150.07%
Maritime Launch Services Inc.	MAXQ.NLB	86.29%	N/A	N/A	N/A	N/A	N/A
Sidus Space, Inc.	SIDU.O	179.50%	2.35	-1.61	314.25%	17	177.27%
L3Harris Technologies, Inc.	LHX	28.64%	3.29	2.79	5.02%	51,752	22.41%
Magellan Aerospace Corporation	MAL.TO	45.45%	N/A	N/A	N/A	N/A	N/A

Measure	Implied Equity Volatility	d1	d2	Variance of Asset Volatility	Asset Value	Asset Volatility
Mean	79.95%	3.74	1.97	63.14%	117	79.46%
Median	61.58%	4.39	3.02	37.45%	117	61.19%
Quartile 1	37.05%	6.57	5.75	13.56%	117	36.82%
Quartile 3	106.34%	3.33	0.96	111.90%	117	105.78%
Selected	**106.34%**					

Source: Reuters Eikon.

Asset Volatility

Company Name	Ticker	Equity Volatility	d1	d2	Variance of Asset Volatility	Asset Value	Asset Volatility
Northrop Grumman Corporation	NOC	25.36%	6.06	5.76	4.40%	84,372	20.97%
Moog Inc.	MOGa	30.30%	5.21	4.86	6.40%	5,910	25.30%
Terran Orbital Corporation	LLAP.K	110.80%	1.22	0.11	61.16%	384	78.21%
Redwire Corporation	RDW	80.49%	1.88	1.03	36.06%	332	60.05%
Rocket Lab USA, Inc.	RKLB.O	67.20%	3.39	2.51	38.69%	2,218	62.20%
Astra Space, Inc.	ASTR.O	129.22%	0.98	-0.31	83.19%	25	91.21%
Intuitive Machines, Inc.	LUNR.O	163.70%	2.04	-0.14	238.17%	313	154.33%
Maritime Launch Services Inc.	MAXQ.NLB	86.29%	N/A	N/A	N/A	N/A	N/A
Sidus Space, Inc.	SIDU.O	184.93%	1.81	-0.64	299.20%	18	172.97%
L3Harris Technologies, Inc.	LHX	26.21%	5.22	4.93	3.98%	53,199	19.94%
Magellan Aerospace Corporation	MAL.TO	31.36%	N/A	N/A	N/A	N/A	N/A

Measure	Implied Re-levered Asset Volatility	d1	d2	Variance of Asset Volatility	Asset Value	Asset Volatility
Mean	76.13%	22.16	21.09	57.96%	118	76.13%
Median	62.20%	26.91	26.03	38.69%	118	62.20%
Quartile 1	25.30%	65.25	64.89	6.40%	118	25.30%
Quartile 3	91.21%	18.69	17.40	83.19%	118	91.21%
Selected						**91.21%**

Source: Reuters Eikon.

Exhibit 7: Equity Value Allocation Theory

Current Value Method ('CVM')

The CVM assumes that the hypothetical liquidation event would occur on the valuation date, instead of a certain date in the future as assumed under the other two methods of allocation.

The CVM entails two broad steps:

a) Determining the value of the company using equity valuation approaches as discussed above;

b) Allocating that Equity Value among different classes of preferred stock based on their liquidation preferences or conversion values, whichever is greater.

CVM has the advantage of simplicity and objectiveness and is frequently used in the industry to deal with preferred stocks. However, according to the AICPA Practice Aid, the method is suitable only under the following limited circumstances:

- When a liquidity event in the form of an acquisition or dissolution of the enterprise is imminent, and expectations about the future of the enterprise as going concern are virtually irrelevant.
- When an enterprise is at such an early stage of development that:
- No material progress has been made on the enterprise's business plan.
- No significant common Equity Value has been created in the business above the liquidation preference on preferred shares.
- There is no reasonable basis for estimating the amount and timing of such common Equity Value above the liquidation preferenc e that might be created in the future.

The guidelines mentioned above suggest that the CVM is primarily suitable for companies in very early stages of development and that as an enterprise progresses beyond that stage, other allocation methods become more appropriate. The result obtained using this method is generally highly sensitive to changes in the Equity Value. Furthermore, this is not forward-looking and fails to reflect the possibility that Company's Equity Value may increase or decrease between the valuation date and the date at which common stockholders will receive returns on their investments, if any.

Option Pricing Method (OPM)

OPM is a forward-looking approach and is appropriate for use when the range of future possible outcomes is so difficult to predict that forecasts would be highly speculative. The method considers common stock as a call option on the Equity Value, as the common stock only receives value if the firm's value exceeds the liquidation preference of preferred series.

Excerpt from AICPA Practice Aid:

"The option pricing method treats common stock and preferred stock as call options on the enterprise's value, with exercise prices based on the liquidation preference of the preferred stock. Under this method, the common stock has value only if the funds available for distribution to shareholders exceed the value of the liquidation preference at the time of a liquidity event (for example, merger or sale), assuming the enterprise has funds available to make a liquidation preference meaningful and collectible by shareholders. The common stock is modeled as a call option that gives its owner the right but not the obligation to buy the underlying enterprise value at a predetermined or exercise price. In the model, the exercise price is based on a comparison with the enterprise value rather than, as in the case of a 'regular' call option, a comparison with a per-share stock price. Thus, common stock is considered to be a call option with a claim on the enterprise at an exercise price equal to the remaining value immediately after the preferred stock is liquidated. The option pricing method has commonly used the Black–Scholes model to price the call option."

"The option pricing method considers various terms of the stockholder agreements, including the level of seniority among securities, dividend policy, conversion ratios, and cash allocations, upon liquidation of the enterprise. In addition, the method implicitly considers the effect of the liquidation

preference as of the future liquidation date, and not as of the valuation date."

OPM also has certain limitations; prominent among these is the sensitivity to certain key assumptions like volatility, which, due to absence of any trading history, is difficult to estimate for a privately held company. Generally, volatility for the company being valued is based on the observed

volatilities of public comparables. While intraday volatility in publicly traded stocks may typically range between 1% and 10%, this cannot be imitated for a privately held company. When applied for valuation of privately held company equity securities, OPM measures the change in value over several months or years unlike options traded in public markets. This makes OPM analysis heavily dependent upon subjective assumption of volatility.

Probability-Weighted Average Expected Return Method ('PWERM')

As outlined in the AICPA Practice Aid, *"under a probability-weighted return method, the value of the common stock is estimated based upon an analysis of future values for the enterprise assuming various future outcomes. The share value is based on the probability-weighted present value of expected future investment returns, considering each of the possible future outcomes available to the enterprise, as well as rights of each share class."*

This method entails a forward-looking analysis of possible future outcomes available to the enterprise, the estimation of a range of future and present values under each outcome, and application of the probability factor to each outcome as of the valuation date. The potential future outcomes typically considered are in the form of exit events like sale or merger, IPO, dissolution, or continued as a private entity.

The primary virtue of PWERM is its conceptual superiority since it explicitly captures the impact of various rights and terms attached to each class of shares under the shareholder agreements at the future date. Furthermore, PWERM is a forward-looking and dynamic method, since, instead of considering a single estimate of the Company's value at the valuation date, it reflects on potential economic events and outcomes at certain dates in future while determining the value as of the valuation date.

On the flip side, PWERM is often complex to implement since it entails several assumptions about the timing of potential future events, the estimate of the probabilities that such events will occur, and a range of values under each of the potential events at future dates. These assumptions may be difficult to estimate and support objectively. Furthermore, in certain cases, PWERM may require building complex probability models and depend heavily upon specific methodology followed and subjectivity of estimates made by the appraiser.

In our opinion, this method is generally more suitable for companies that have made significant progress in their business plan and expect one or more exit outcomes to occur in the foreseeable future. In other words, the planning horizon of the enterprise should be sufficiently long to reasonably estimate the information about the 'change in control events' such as IPO and sale.

AICPA Practice Aid Series 2013– 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page 66, Para 6.46
AICPA Practice Aid Series 2013 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page 66, Para 6.45
AICPA Practice Aid Series 2013 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page 61 and 62, Para 6.30 and 6.31
AICPA Practice Aid Series 2013 – 'Valuation of Privately Held Company Equity Securities Issued as Compensation', Page 58 to 61, Para 6.23 to 6.29

aranca

Exhibit 8: Allocation of Equity Value Using Option Pricing Method (OPM)

Our application of the Black-Scholes Option Pricing (BSOP) method was designed around the following broad steps:
Step 1: Determining the different levels of Equity Value (breakpoints)
Step 2: Determining the incremental Equity Value of each option
Step 3: Determining the proportion for distributing the incremental Equity Value
Step 4: Distributing the incremental Equity Value

Step 1

Determining the different levels of Equity Value (breakpoints)
This step entails determining different levels of Equity Value, called breakpoints (also widely known as waterfall distribution). Each consecutive breakpoint represents an incremental claim on Company's Equity Value by a certain class of shareholders/option holders triggered by their respective liquidation, participation, and/or conversion rights

Event Description	Participating Class	Participating shares (#)	Strike Point ($)
Enterprise Value is zero	None	-	0
Liquidation Preference - Convertible Notes	Convertible Notes	106,480	1,000,913
Conversion of Convertible Notes	Common Stock	11,552,006	109,589,768
Thereafter	All Classes	11,658,486	

Step 2

Determining the Value of Option At Each Break-Point
Each consecutive breakpoint is considered a strike price in the call options on the Company's Equity Value. Using the BSOP model, with other inputs as discussed above, the incremental value of each option is calculated

Black Scholes Option Pricing	Option 1	Option 2	Option 3		
Value of the underlying Asset ($)	117,651,254	117,651,254	117,651,254		
Strike Price ($)	0	1,000,913	109,589,768		
S.D of the Underlying Preferred Share	91%	91%	91%		
Dividend Yield	0%	0%	0%		
Time of Expiration (Years)	2	2	2		
Riskless Rate corresponding to Option Life Time	4.65%	4.65%	4.65%		
d1 =	29.40	4.41	0.77		
N(d1) =	1.00	1.00	0.78		
	-	-	-		
d2 =	28.11	3.12	(0.52)		
N(d2) =	1.00	1.00	0.30		
Value of the Call Options	117,651,254	116,739,426	61,577,139		
Incremental Value of Options	**911,828**	**55,162,287**	**61,577,139**		

Term	Description	Inputs used in Exos Aerospace Systems & Technologies, Inc. case
Business Equity Value	Value that would be distributable to equity shareholders in case of an exit	Income Approach & Market Approach (Guideline Trading Multiple)
Time to Liquidity	Time for occurrence of liquidity event; this important assumption impacts the analysis	We discussed potential exit outcomes with the management and the most likely timeframe for their occurrence in light of company's current stage of development as well as the current economic outlook for such exits. Considering these factors, we selected 2 year as the expected time for a liquidity event.
Risk-free Rate	Rate of return on government securities with maturity equal to time to liquidity	4.65%
Dividend Yield	Yield on dividends	The company is a privately held and according to the management, there is no reasonable expectation of dividends being paid in the foreseeable future. Hence, the dividend yield was assumed to be 0%.
Volatility	Based on volatilities of guideline companies	The OPM allocates enterprise value among the different classes of shares, such as common stock and preferred stock, based on their rights and preferences. To allocate value, it treats them as call options on the enterprise value, with exercise price based on the liquidation preference of preference stock. As we value the call option with the underlying being enterprise value, we have taken asset volatility , as an input to BSOP, which measures the volatility of the underlying enterprise value. The re-levered asset volatility has been calculated using Merton's formulation based on equity volatility of the GPCs.
	Selected Measure	91.21%

Step 3

Determining the proportion of distribution of Equity Value

After calculating the breakpoints, the proportion in which incremental Equity Value would be distributed between consecutive breakpoints is determined.

% of Ownership in Incremental Value after Each Event		
Break-Point Event	**Convertible Notes**	**Common Stock**
Liquidation Preference - Convertible Notes	100.00%	0.00%
Conversion of Convertible Notes	0.00%	100.00%
Thereafter	0.91%	99.09%

aranca

Step 4

Distribution of Equity Value among Different Classes of Stock

The incremental value of each call option is distributed among different classes of stockholders based on their respective distribution proportion as calculated in Step 3

Allocation of Option Values	Option 1	Option 2	Option 3		
Classes of Stock					
Convertible Notes	911,828	-	562,401	-	-
Common Stock	-	55,162,287	61,014,738	-	-
Total	**911,828**	**55,162,287**	**61,577,139**	**-**	**-**

Final Value Allocation	# of Shares	Value ($)	Per Share ($)	% of EV
Classes of Stock				
Convertible Notes	106,480	1,474,229	13.85	1.25%
Common Stock	11,552,006	116,177,025	10.06	98.75%
Total	**11,658,486**	**117,651,254**		**100.00%**

Fair Market Value (FMV) of Common Stock		
Common Stock (before DLOM)		10.06
Discount For Lack of Marketability (DLOM)	50.00%	5.03
FMV of Common Stock		**5.03**

aranca

Exhibit 9: Discount for Lack of Marketability

Methodology	DLOM Arrived
- Finnerty Model (Ghaidarov Correction)	60.21%
Concluded DLOM	**50.00%**

Inputs	
Stock Price (in $)	10.06
Strike Price (in $)	10.06
Volatility of the Underlying Asset	106.34%
Dividend yield	0.00%
Time of Expiration (years)	5
Riskless Rate corresponding to option life time	4.27%
Variance	113.08%

Finnerty Model (Ghaidarov Correction)	
v2T	2.86
vT	1.69
d1	0.85
d2	-0.85
Put Option Value	6.06
DLOM	**60.21%**

Exhibit 10: General Assumptions and Limiting Conditions

This independent appraisal report is subject to the following assumptions and limiting conditions, to be understood in conjunction with the previously presented Certification section:

All reported facts, comments, estimates, opinions, and statistical information set forth in this report have been obtained from sources believed to be accurate, reliable, and knowledgeable. No liability is assumed for the content or accuracy of the data furnished by others, including information and representations provided by the management to Aranca.

Aranca and the analyst have made no attempt to verify the accuracy, veracity, conformity, and topical nature of the data gathered from such sources.

Aranca and the analyst relied on historical financial data provided by the management as well as verbal representations made by the management regarding this data and subsequent adjustments made to this data.

All financial statements and other data pertaining to the Company have been provided by the management and accepted by Aranca without verification, including conformity or non-conformity with generally accepted accounting principles and/or other guidelines established by recognized regulatory and other governing bodies.

The historical financial information and any adjustments thereto and any forecasts and projections presented in this report, including attached Exhibits, are included solely to assist in the development of the value estimate presented in this report.

We do not provide assurance on the achievability of the results forecasted by the Company because events and circumstances frequently do not occur as expected; differences between actual and expected results may be material; and achievement of the forecasted results is dependent on actions, plans, and assumptions of the management.

The conclusions of value are based on the assumption that the current level of management expertise and effectiveness would continue to be maintained and that the character and the integrity of the enterprise through any sale, reorganization, exchange, or diminution of the owners' participation would not be materially or significantly changed.

Because of the limited purpose of this presentation, the information may be incomplete and contain departures from generally accepted accounting principles and/or other guidelines established by recognized regulatory and other governing bodies. We express no opinion or other assurances on the information presented, and it should not be used for any purpose other than to assist in this valuation.

Possession of this report does not carry with it the right of publication of all or part of it, nor may it be used for any purpose by anyone other than the client and the specified reason as stated in the report, without a written consent from Aranca. Notwithstanding anything to the contrary herein, the Company shall be entitled to disclose this report (i) as required by law, rule, regulation, or request of any federal, state, or local government or regulatory body, including without limitation the United States Internal Revenue Service, or of any securities exchange, (ii) as may be required in response to any summons or subpoena or any litigation, or (iii) to the Company's officers, directors, auditors, accountants, tax advisors, or legal counsel, on an as-needed basis.

The contents of this valuation are an opinion of value for the purposes stated. In no way should this be construed as a recommendation to buy or sell the underlying company. Aranca and the analyst support only the opinions stated in this report and assume no responsibility for use of formulas and other approaches based on these conclusions in the future.